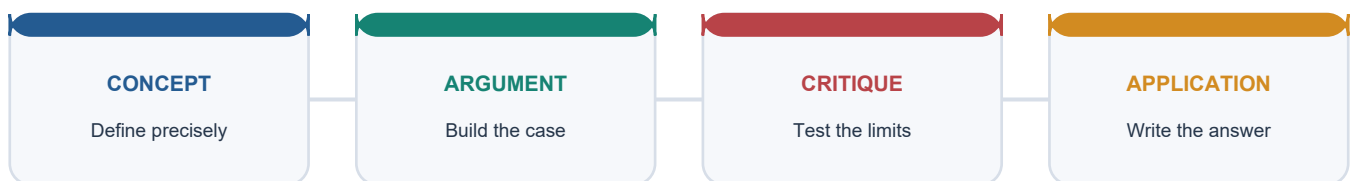


COMPLETE LEARNING SESSION

Industrial Policy, 1991 Reforms, PSUs and Disinvestment - Complete Learning Session

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing

LEARNING PATH



Deterministic fallback visual: move from precise concepts through argument and critique to exam application.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

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Major learning parts and meaningful subtopics are listed in document order. Page numbers are generated from the final PDF layout; PDF bookmarks mirror the same hierarchy.

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Industrial Policy, 1991 Reforms, PSUs and Disinvestment - Complete Learning Session

SOURCE, STATUS AND DATE CONTROL

- **Current-source cutoff:** 9 September 2026.
- **Source order:** canonical Economy Basic/Core and Optional Advanced Markdown; OCR-derived Ramesh Singh and *Economic Survey 2025-26* notes; official DPIIT policy archives/licensing, DPE criteria and Public Enterprises Survey, DIPAM policy/receipts, Union Budget, CCI and IBBI material.
- **Status rule:** policy announcement, transaction approval, bidding, completion, receipt and post-sale outcome remain separate.
- **Data rule:** industrial-licensing lists, Ratna criteria, strategic sectors and receipt figures carry exact official date and category.
- **Boundary:** PLI, MSMEs and semiconductor strategy belong to Topic 17; infrastructure monetisation detail to Topic 18; fiscal accounting to Topic 9; IBC depth to Topic 6.

OFFICIAL LINKS CHECKED

- DPIIT Industrial Policy Resolutions:
<https://www.dpiit.gov.in/static/uploads/2025/07/3378eb653f9bc524e6c450bd45c7c988.pdf>
- DPIIT compulsory industrial licensing:
<https://www.dpiit.gov.in/static/uploads/2025/07/636450aac79a6d3a7e049199b8429c49.pdf>
- DPIIT licensing status/public reservation:
<https://www.dpiit.gov.in/static/uploads/2025/07/459fc03937fb6c4ab552493494c49145.pdf>
- DPE Ratna guidelines:
<https://dpe.gov.in/documents/guidelines/b-maharatna-navratna-miniratna-MDMxETMtQWa>
- DPE Public Enterprises Survey 2024-25:
<https://reports-pesurvey.dpe.gov.in/homepage/pesurveyreportsfy2024-25.asp>
- DIPAM disinvestment policy and methods: <https://dipam.gov.in/disinvestment-policy>
- DIPAM New PSE Policy, 4 February 2021: [https://dipam.gov.in/ddaservice/dipam_docs/Circulars/New%20PSE%20Policy%20for%20Atmanirbhar%20Bharat%20\(04.02.2021\).pdf](https://dipam.gov.in/ddaservice/dipam_docs/Circulars/New%20PSE%20Policy%20for%20Atmanirbhar%20Bharat%20(04.02.2021).pdf)
- Receipt Budget 2026-27: <https://indiabudget.gov.in/doc/rec/cr.pdf>
- CCI antitrust framework: <https://cci.gov.in/antitrust>
- IBBI/IBC framework: <https://ibbi.gov.in/legal-framework/act>

CHRONOLOGY

Date	Policy/institution	Causal significance
1948	First Industrial Policy Resolution	Mixed economy and strategic State domain
1951	Industries (Development and Regulation) Act	Statutory industrial-licensing framework
1956	Industrial Policy Resolution	Schedules A/B/C; commanding heights
1969 / 1973	MRTTP Act / FERA	Concentration and foreign-exchange controls
1977	Industrial Policy Statement	Small/tiny/cottage and decentralisation
1980s	Modernisation and selective liberalisation	Broad-banding, capacity and technology flexibility
24 July 1991	New Industrial Policy	Delicensing, PSU/MRTTP/FDI/technology reform
2002	Competition Act	Effects-based competition framework
4 February 2021	New PSE Policy	Strategic/non-strategic ownership framework

Date	Policy/institution	Causal significance
16 June 2026	DPE consolidated Ratna review instructions checked	Current monitoring/review qualification

CURRENT OFFICIAL DASHBOARD

Item	Dated fact	Qualification
Industrial licensing	Four categories in DPIIT list checked 9 September 2026	Other approvals remain applicable
Public reservation	Atomic Energy and core Railway operations, subject to notified exceptions	Mass rapid transport/specified infrastructure participation follows current policy
New PSE Policy	Four strategic groups; notified 4 February 2021	Policy intent != completed transaction
Ratna criteria	Current DPE criteria and 16 June 2026 review instructions	Eligibility != performance guarantee
Budget receipt head	Rs 80,000 crore BE 2026-27 miscellaneous capital receipts; Rs 33,837 crore RE 2025-26	Combined head, not pure disinvestment
DIPAM receipt	FY2025-26 disinvestment receipts Rs 16,885.56 crore , portal checked 9 September 2026	Different series from combined budget head

BASIC LEARNING SESSION

CORE SESSION 1 - Industrial-policy architecture

VISUAL FIRST

STATE CHOOSES RULES/PUBLIC GOODS/CAPABILITIES -> FIRMS ENTER/INVEST/COMPETE

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

Industrial policy is the set of public rules and interventions shaping industrial structure, entry, technology, location, competition and capability.

ANSWER-GRABBING LINE: Industrial policy is broader than protection, subsidy or public ownership.

MUST-WRITE KEYWORDS: industrial, policy, is, broader, than, protection, subsidy, or, public, ownership, the, canonical

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Industrial policy is broader than protection, subsidy or public ownership.
- **Named evidence:** The canonical Economy owner connects rules, infrastructure and finance to entry, productivity, jobs and structural transformation.
- **Analysis:** Licensing, standards, procurement, skills, finance and competition can alter firm incentives through different mechanisms.
- **Qualification / demand link:** Each intervention needs a named market failure, measurable result and review rule.

EVIDENCE AND INFERENCE

- **Fact/evidence:** The canonical Economy owner connects rules, infrastructure and finance to entry, productivity, jobs and structural transformation.
- **Analytical inference:** Licensing, standards, procurement, skills, finance and competition can alter firm incentives through different mechanisms.
- **Qualification:** Each intervention needs a named market failure, measurable result and review rule.

PRELIMS TRAP

Do not define industrial policy as PLI alone.

MAINS USE

Open with instrument, mechanism and intended structural outcome.

MINI RECAP

- Definition: Industrial policy is the set of public rules and interventions shaping industrial structure, entry, technology, location, competition and capability.
- Evidence anchor: The canonical Economy owner connects rules, infrastructure and finance to entry, productivity, jobs and structural transformation.
- Verdict: Industrial policy is broader than protection, subsidy or public ownership.

CORE SESSION 2 - Why states intervene

VISUAL FIRST

MARKET FAILURE/COORDINATION GAP -> PUBLIC ACTION -> CAPABILITY OR RENT

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

Industrial intervention may address public goods, externalities, coordination failures, strategic risk, learning and missing finance.

ANSWER-GRABBING LINE: The case for intervention does not prove the chosen instrument is effective.

MUST-WRITE KEYWORDS: the, case, for, intervention, does, not, prove, chosen, instrument, is, effective, post-independence

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** The case for intervention does not prove the chosen instrument is effective.
- **Named evidence:** Post-Independence policy used public investment where domestic capital, infrastructure and technical capability were scarce.
- **Analysis:** Coordinated investment can create complementary suppliers and skills, but discretion can generate rent seeking.
- **Qualification / demand link:** Government failure, information limits and capture must be tested alongside market failure.

EVIDENCE AND INFERENCE

- **Fact/evidence:** Post-Independence policy used public investment where domestic capital, infrastructure and technical capability were scarce.
- **Analytical inference:** Coordinated investment can create complementary suppliers and skills, but discretion can generate rent seeking.
- **Qualification:** Government failure, information limits and capture must be tested alongside market failure.

PRELIMS TRAP

Do not infer success from a strategic label.

MAINS USE

State the failure, tool, transmission and exit condition.

MINI RECAP

- Definition: Industrial intervention may address public goods, externalities, coordination failures, strategic risk, learning and missing finance.
- Evidence anchor: Post-Independence policy used public investment where domestic capital, infrastructure and technical capability were scarce.
- Verdict: The case for intervention does not prove the chosen instrument is effective.

CORE SESSION 3 - Chronology as changing constraints

VISUAL FIRST

1948 MIXED ECONOMY -> 1956 COMMANDING HEIGHTS -> 1977/1980 SHIFT -> 1991 SYSTEMIC REFORM

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

India's industrial-policy chronology reflects changing development constraints and political-economic choices.

ANSWER-GRABBING LINE: 1991 was a major structural break but not the first liberalising step.

MUST-WRITE KEYWORDS: 1991, was, a, major, structural, break, but, not, the, first, liberalising, step

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** 1991 was a major structural break but not the first liberalising step.
- **Named evidence:** DPIIT's archived Industrial Policy Resolutions cover 1948, 1956, 1977, 1980 and the 24 July 1991 Statement.
- **Analysis:** Earlier policy built capacity through planning and controls; the 1980s introduced selective flexibility before comprehensive reform.
- **Qualification / demand link:** Implementation varied by sector and State, so formal policy dates are not uniform outcome dates.

EVIDENCE AND INFERENCE

- **Fact/evidence:** DPIIT's archived Industrial Policy Resolutions cover 1948, 1956, 1977, 1980 and the 24 July 1991 Statement.
- **Analytical inference:** Earlier policy built capacity through planning and controls; the 1980s introduced selective flexibility before comprehensive reform.
- **Qualification:** Implementation varied by sector and State, so formal policy dates are not uniform outcome dates.

PRELIMS TRAP

Do not compress four decades into 'licence raj then LPG'.

MAINS USE

Use chronology to explain causation, not merely list years.

MINI RECAP

- Definition: India's industrial-policy chronology reflects changing development constraints and political-economic choices.
- Evidence anchor: DPIIT's archived Industrial Policy Resolutions cover 1948, 1956, 1977, 1980 and the 24 July 1991 Statement.
- Verdict: 1991 was a major structural break but not the first liberalising step.

CORE SESSION 4 - Industrial Policy Resolution 1948

VISUAL FIRST

MIXED ECONOMY -> STRATEGIC STATE DOMAIN + REGULATED IMPORTANT INDUSTRIES + PRIVATE SPACE

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

The 1948 Resolution set a mixed-economy framework and divided industrial responsibility across State and private activity.

ANSWER-GRABBING LINE: The early state sought coordination and strategic control without abolishing private enterprise.

MUST-WRITE KEYWORDS: the, early, state, sought, coordination, and, strategic, control, without, abolishing, private, enterprise

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** The early state sought coordination and strategic control without abolishing private enterprise.
- **Named evidence:** Arms and ammunition, atomic energy and railway transport were placed in the State domain, while other important industries faced regulation.
- **Analysis:** The framework responded to scarce capital, weak infrastructure and the need for national capability.
- **Qualification / demand link:** Its categories and subsequent implementation were modified by later resolutions.

EVIDENCE AND INFERENCE

- **Fact/evidence:** Arms and ammunition, atomic energy and railway transport were placed in the State domain, while other important industries faced regulation.
- **Analytical inference:** The framework responded to scarce capital, weak infrastructure and the need for national capability.
- **Qualification:** Its categories and subsequent implementation were modified by later resolutions.

PRELIMS TRAP

Do not describe 1948 as complete nationalisation.

MAINS USE

Use it to establish the mixed-economy origin.

MINI RECAP

- Definition: The 1948 Resolution set a mixed-economy framework and divided industrial responsibility across State and private activity.
- Evidence anchor: Arms and ammunition, atomic energy and railway transport were placed in the State domain, while other important industries faced regulation.
- Verdict: The early state sought coordination and strategic control without abolishing private enterprise.

CORE SESSION 5 - Industries Development and Regulation Act 1951

VISUAL FIRST

SCHEDULED INDUSTRY -> REGISTRATION/LICENCE -> CAPACITY/LOCATION/EXPANSION CONTROL

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

The Industries (Development and Regulation) Act, 1951 supplied the statutory framework for central industrial regulation.

ANSWER-GRABBING LINE: The licensing system converted planning priorities into firm-level entry and capacity controls.

MUST-WRITE KEYWORDS: the, licensing, system, converted, planning, priorities, into, firm-level, entry, and, capacity, controls

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** The licensing system converted planning priorities into firm-level entry and capacity controls.
- **Named evidence:** Before 1991, approvals under the IDR framework covered many scheduled industries and major investment decisions.
- **Analysis:** Controls could allocate scarce capital and foreign exchange, but also delayed entry and protected incumbents.
- **Qualification / demand link:** Environmental, safety and sector regulation are analytically distinct from industrial licensing.

EVIDENCE AND INFERENCE

- **Fact/evidence:** Before 1991, approvals under the IDR framework covered many scheduled industries and major investment decisions.
- **Analytical inference:** Controls could allocate scarce capital and foreign exchange, but also delayed entry and protected incumbents.
- **Qualification:** Environmental, safety and sector regulation are analytically distinct from industrial licensing.

PRELIMS TRAP

Do not claim the IDR Act vanished after delicensing.

MAINS USE

Connect the statute to the licence-permit mechanism.

MINI RECAP

- Definition: The Industries (Development and Regulation) Act, 1951 supplied the statutory framework for central industrial regulation.
- Evidence anchor: Before 1991, approvals under the IDR framework covered many scheduled industries and major investment decisions.
- Verdict: The licensing system converted planning priorities into firm-level entry and capacity controls.

CORE SESSION 6 - Industrial Policy Resolution 1956

VISUAL FIRST

SCHEDULE A: STATE | SCHEDULE B: PROGRESSIVE STATE ROLE | SCHEDULE C: OTHER INDUSTRIES

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

The 1956 Resolution organised industry into three schedules and assigned the public sector a commanding-heights role.

ANSWER-GRABBING LINE: Heavy-industry strategy linked public ownership with long-gestation investment and self-reliance.

MUST-WRITE KEYWORDS: heavy-industry, strategy, linked, public, ownership, with, long-gestation, investment, and, self-reliance, schedule, a

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Heavy-industry strategy linked public ownership with long-gestation investment and self-reliance.
- **Named evidence:** Schedule A contained industries of exclusive State responsibility; Schedule B anticipated increasing State initiative; Schedule C left remaining industries generally to private enterprise under policy controls.
- **Analysis:** Public investment built basic industries and infrastructure beyond the risk appetite of domestic private capital.
- **Qualification / demand link:** Schedule labels describe policy allocation, not identical enterprise performance.

EVIDENCE AND INFERENCE

- **Fact/evidence:** Schedule A contained industries of exclusive State responsibility; Schedule B anticipated increasing State initiative; Schedule C left remaining industries generally to private enterprise under policy controls.
- **Analytical inference:** Public investment built basic industries and infrastructure beyond the risk appetite of domestic private capital.
- **Qualification:** Schedule labels describe policy allocation, not identical enterprise performance.

PRELIMS TRAP

Do not say Schedule C was unregulated laissez-faire.

MAINS USE

Draw the A-B-C structure before assessing outcomes.

MINI RECAP

- Definition: The 1956 Resolution organised industry into three schedules and assigned the public sector a commanding-heights role.
- Evidence anchor: Schedule A contained industries of exclusive State responsibility; Schedule B anticipated increasing State initiative; Schedule C left remaining industries generally to private enterprise under policy controls.
- Verdict: Heavy-industry strategy linked public ownership with long-gestation investment and self-reliance.

CORE SESSION 7 - Import substitution

VISUAL FIRST

FOREIGN-EXCHANGE SCARCITY → DOMESTIC CAPACITY + TARIFF/QUANTITATIVE PROTECTION

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

Import-substituting industrialisation seeks domestic production of goods previously imported.

ANSWER-GRABBING LINE: Import substitution can build capability but persistent insulation weakens competitive discipline.

MUST-WRITE KEYWORDS: import, substitution, can, build, capability, but, persistent, insulation, weakens, competitive, discipline, planning

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Import substitution can build capability but persistent insulation weakens competitive discipline.
- **Named evidence:** Planning, foreign-exchange allocation, tariffs and industrial licensing jointly supported domestic production.
- **Analysis:** Learning and scale may reduce external dependence, while protected firms may retain high cost or obsolete technology.
- **Qualification / demand link:** Import substitution and export capability can be sequential rather than absolute opposites.

EVIDENCE AND INFERENCE

- **Fact/evidence:** Planning, foreign-exchange allocation, tariffs and industrial licensing jointly supported domestic production.
- **Analytical inference:** Learning and scale may reduce external dependence, while protected firms may retain high cost or obsolete technology.
- **Qualification:** Import substitution and export capability can be sequential rather than absolute opposites.

PRELIMS TRAP

Do not equate self-reliance with autarky.

MAINS USE

Balance capability gains with quality, cost and export tests.

MINI RECAP

- Definition: Import-substituting industrialisation seeks domestic production of goods previously imported.
- Evidence anchor: Planning, foreign-exchange allocation, tariffs and industrial licensing jointly supported domestic production.
- Verdict: Import substitution can build capability but persistent insulation weakens competitive discipline.

CORE SESSION 8 - Licence-permit-quota mechanism

VISUAL FIRST

ENTRY LICENCE + CAPACITY APPROVAL + IMPORT/FOREX ALLOCATION -> ADMINISTRATIVE SCARCITY

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

The licence-permit-quota system combined industrial approval with capacity, import and foreign-exchange controls.

ANSWER-GRABBING LINE: Multiple controls reinforced each other and raised the value of administrative access.

MUST-WRITE KEYWORDS: multiple, controls, reinforced, each, other, and, raised, the, value, of, administrative, access

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Multiple controls reinforced each other and raised the value of administrative access.
- **Named evidence:** IDR licensing, import restrictions and foreign-exchange allocation shaped investment and expansion.
- **Analysis:** The regime could direct resources, yet limited contestability and encouraged rent seeking, fragmentation or subscale plants.
- **Qualification / demand link:** Not every regulation was unnecessary, and outcomes differed across industries.

EVIDENCE AND INFERENCE

- **Fact/evidence:** IDR licensing, import restrictions and foreign-exchange allocation shaped investment and expansion.
- **Analytical inference:** The regime could direct resources, yet limited contestability and encouraged rent seeking, fragmentation or subscale plants.
- **Qualification:** Not every regulation was unnecessary, and outcomes differed across industries.

PRELIMS TRAP

Do not use 'licence raj' as analysis without naming the controlled decision.

MAINS USE

Identify entry, scale, technology, import and location channels.

MINI RECAP

- Definition: The licence-permit-quota system combined industrial approval with capacity, import and foreign-exchange controls.
- Evidence anchor: IDR licensing, import restrictions and foreign-exchange allocation shaped investment and expansion.
- Verdict: Multiple controls reinforced each other and raised the value of administrative access.

CORE SESSION 9 - MRTP Act context

VISUAL FIRST

ECONOMIC CONCENTRATION -> ASSET-THRESHOLD SCRUTINY / PRE-ENTRY CONTROL

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

The Monopolies and Restrictive Trade Practices Act, 1969 addressed concentration and specified restrictive practices under the older policy framework.

ANSWER-GRABBING LINE: Pre-1991 MRTP controls targeted firm size and expansion more than modern effects-based competition analysis.

MUST-WRITE KEYWORDS: pre-1991, mrtp, controls, targeted, firm, size, and, expansion, more, than, modern, effects-based

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Pre-1991 MRTP controls targeted firm size and expansion more than modern effects-based competition analysis.
- **Named evidence:** Large MRTP companies faced prior-approval requirements linked to asset thresholds.
- **Analysis:** The approach could restrain concentration but also penalised scale without directly testing consumer harm.
- **Qualification / demand link:** The MRTP framework remained until replacement by the Competition Act architecture; 1991 first removed major pre-entry restrictions.

EVIDENCE AND INFERENCE

- **Fact/evidence:** Large MRTP companies faced prior-approval requirements linked to asset thresholds.
- **Analytical inference:** The approach could restrain concentration but also penalised scale without directly testing consumer harm.
- **Qualification:** The MRTP framework remained until replacement by the Competition Act architecture; 1991 first removed major pre-entry restrictions.

PRELIMS TRAP

Do not say MRTP was repealed in July 1991.

MAINS USE

Contrast size-based control with conduct and market-effect analysis.

MINI RECAP

- Definition: The Monopolies and Restrictive Trade Practices Act, 1969 addressed concentration and specified restrictive practices under the older policy framework.
- Evidence anchor: Large MRTP companies faced prior-approval requirements linked to asset thresholds.
- Verdict: Pre-1991 MRTP controls targeted firm size and expansion more than modern effects-based competition analysis.

CORE SESSION 10 - FERA context

VISUAL FIRST

FOREX SCARCITY -> STRICT CONTROL OF PAYMENTS/OWNERSHIP -> CONSERVATION

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

The Foreign Exchange Regulation Act, 1973 treated foreign exchange as a scarce resource requiring strict control.

ANSWER-GRABBING LINE: FERA shaped foreign ownership and technology access before the later management-oriented FEMA framework.

MUST-WRITE KEYWORDS: fera, shaped, foreign, ownership, and, technology, access, before, the, later, management-oriented, fema

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** FERA shaped foreign ownership and technology access before the later management-oriented FEMA framework.
- **Named evidence:** Foreign firms faced ownership and transaction restrictions under a conservation regime.
- **Analysis:** Controls conserved reserves but could constrain capital, technology and integration.
- **Qualification / demand link:** FERA was replaced by FEMA, 1999 with effect from 2000, not by the NIP statement alone.

EVIDENCE AND INFERENCE

- **Fact/evidence:** Foreign firms faced ownership and transaction restrictions under a conservation regime.
- **Analytical inference:** Controls conserved reserves but could constrain capital, technology and integration.
- **Qualification:** FERA was replaced by FEMA, 1999 with effect from 2000, not by the NIP statement alone.

PRELIMS TRAP

Do not merge foreign-exchange reform with industrial delicensing.

MAINS USE

Use FERA to explain the pre-1991 external constraint.

MINI RECAP

- Definition: The Foreign Exchange Regulation Act, 1973 treated foreign exchange as a scarce resource requiring strict control.
- Evidence anchor: Foreign firms faced ownership and transaction restrictions under a conservation regime.
- Verdict: FERA shaped foreign ownership and technology access before the later management-oriented FEMA framework.

CORE SESSION 11 - Industrial Policy Statement 1977

VISUAL FIRST

SMALL/TINY/COTTAGE INDUSTRY + DISTRICT CENTRES -> DECENTRALISED EMPLOYMENT

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

The 1977 policy emphasised small, tiny and cottage industry and decentralised industrial development.

ANSWER-GRABBING LINE: The shift sought employment and regional dispersion alongside production.

MUST-WRITE KEYWORDS: the, shift, sought, employment, and, regional, dispersion, alongside, production, district, industries, centres

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** The shift sought employment and regional dispersion alongside production.
- **Named evidence:** District Industries Centres and a stronger small-sector focus reflected the period's priorities.
- **Analysis:** Local support could lower information and service gaps, while reservation sometimes limited scale and technology upgrading.
- **Qualification / demand link:** Small-scale policy evolved repeatedly and should not be projected unchanged into the present.

EVIDENCE AND INFERENCE

- **Fact/evidence:** District Industries Centres and a stronger small-sector focus reflected the period's priorities.
- **Analytical inference:** Local support could lower information and service gaps, while reservation sometimes limited scale and technology upgrading.
- **Qualification:** Small-scale policy evolved repeatedly and should not be projected unchanged into the present.

PRELIMS TRAP

Do not describe 1977 as comprehensive liberalisation.

MAINS USE

Use employment and decentralisation as its causal core.

MINI RECAP

- Definition: The 1977 policy emphasised small, tiny and cottage industry and decentralised industrial development.
- Evidence anchor: District Industries Centres and a stronger small-sector focus reflected the period's priorities.
- Verdict: The shift sought employment and regional dispersion alongside production.

CORE SESSION 12 - Industrial Policy Statement 1980

VISUAL FIRST

EFFICIENCY + MODERNISATION + COMPETITION + BALANCED DEVELOPMENT

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

The 1980 policy re-emphasised efficiency, modernisation, competition and capacity use while retaining planning controls.

ANSWER-GRABBING LINE: Policy began shifting from protection of units toward performance and technology.

MUST-WRITE KEYWORDS: policy, began, shifting, from, protection, of, units, toward, performance, and, technology, the

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Policy began shifting from protection of units toward performance and technology.
- **Named evidence:** The official 1980 statement addressed modernisation, export orientation and industrial sickness.
- **Analysis:** Selective flexibility improved use of capacity but did not dismantle the licensing system.
- **Qualification / demand link:** Formal emphasis did not guarantee equal implementation across sectors.

EVIDENCE AND INFERENCE

- **Fact/evidence:** The official 1980 statement addressed modernisation, export orientation and industrial sickness.
- **Analytical inference:** Selective flexibility improved use of capacity but did not dismantle the licensing system.
- **Qualification:** Formal emphasis did not guarantee equal implementation across sectors.

PRELIMS TRAP

Do not call 1980 the New Industrial Policy.

MAINS USE

Place it between decentralisation and 1980s liberalisation.

MINI RECAP

- Definition: The 1980 policy re-emphasised efficiency, modernisation, competition and capacity use while retaining planning controls.
- Evidence anchor: The official 1980 statement addressed modernisation, export orientation and industrial sickness.
- Verdict: Policy began shifting from protection of units toward performance and technology.

CORE SESSION 13 - Selective liberalisation in the 1980s

VISUAL FIRST

BROAD-BANDING + CAPACITY FLEXIBILITY + TECHNOLOGY IMPORT -> PARTIAL COMPETITIVE SHIFT

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

The 1980s introduced selective delicensing, broad-banding and technology or capacity flexibility before 1991.

ANSWER-GRABBING LINE: Incremental reform created a pre-history for the later structural break.

MUST-WRITE KEYWORDS: incremental, reform, created, a, pre-history, for, the, later, structural, break, policy, changes

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Incremental reform created a pre-history for the later structural break.
- **Named evidence:** Policy changes allowed some firms to vary product mix, expand capacity and access technology more easily.
- **Analysis:** These steps raised productivity in parts of manufacturing but preserved broad administrative controls and macro vulnerability.
- **Qualification / demand link:** The scale and beneficiaries of reform were uneven.

EVIDENCE AND INFERENCE

- **Fact/evidence:** Policy changes allowed some firms to vary product mix, expand capacity and access technology more easily.
- **Analytical inference:** These steps raised productivity in parts of manufacturing but preserved broad administrative controls and macro vulnerability.
- **Qualification:** The scale and beneficiaries of reform were uneven.

PRELIMS TRAP

Do not attribute every post-1980 productivity change solely to 1991.

MAINS USE

Use continuity plus discontinuity in evaluation.

MINI RECAP

- Definition: The 1980s introduced selective delicensing, broad-banding and technology or capacity flexibility before 1991.
- Evidence anchor: Policy changes allowed some firms to vary product mix, expand capacity and access technology more easily.
- Verdict: Incremental reform created a pre-history for the later structural break.

CORE SESSION 14 - 1991 balance-of-payments crisis

VISUAL FIRST

EXTERNAL PAYMENT PRESSURE + FISCAL/MACRO IMBALANCE -> STABILISATION + STRUCTURAL REFORM

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

The 1991 crisis combined severe balance-of-payments pressure with broader macroeconomic and structural weaknesses.

ANSWER-GRABBING LINE: Emergency stabilisation and long-term industrial reform were related but distinct responses.

MUST-WRITE KEYWORDS: emergency, stabilisation, and, long-term, industrial, reform, were, related, but, distinct, responses, the

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Emergency stabilisation and long-term industrial reform were related but distinct responses.
- **Named evidence:** The government undertook reserve-support and macro measures while presenting the New Industrial Policy on 24 July 1991.
- **Analysis:** The crisis increased the political feasibility and urgency of reducing controls and attracting capital.
- **Qualification / demand link:** Industrial reform was not mechanically dictated by one external institution or one reserve number.

EVIDENCE AND INFERENCE

- **Fact/evidence:** The government undertook reserve-support and macro measures while presenting the New Industrial Policy on 24 July 1991.
- **Analytical inference:** The crisis increased the political feasibility and urgency of reducing controls and attracting capital.
- **Qualification:** Industrial reform was not mechanically dictated by one external institution or one reserve number.

PRELIMS TRAP

Do not reduce the crisis to a single gold-pledge anecdote.

MAINS USE

Separate trigger, stabilisation and structural pillars.

MINI RECAP

- Definition: The 1991 crisis combined severe balance-of-payments pressure with broader macroeconomic and structural weaknesses.
- Evidence anchor: The government undertook reserve-support and macro measures while presenting the New Industrial Policy on 24 July 1991.
- Verdict: Emergency stabilisation and long-term industrial reform were related but distinct responses.

CORE SESSION 15 - Stabilisation versus structural adjustment

VISUAL FIRST

SHORT RUN: DEMAND/EXTERNAL BALANCE | LONG RUN: ENTRY/INCENTIVES/PRODUCTIVITY

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

Stabilisation restores macro balance; structural reform changes institutions and incentives affecting supply and productivity.

ANSWER-GRABBING LINE: Austerity, exchange-rate action and industrial delicensing operate on different horizons.

MUST-WRITE KEYWORDS: austerity, exchange-rate, action, and, industrial, delicensing, operate, on, different, horizons, the, 1991

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Austerity, exchange-rate action and industrial delicensing operate on different horizons.
- **Named evidence:** The 1991 package combined fiscal and external adjustment with industrial, trade, financial and public-enterprise reforms.
- **Analysis:** Stabilisation creates breathing space, while structural change can improve efficiency and export capacity.
- **Qualification / demand link:** Short-run adjustment costs and long-run gains need separate evidence.

EVIDENCE AND INFERENCE

- **Fact/evidence:** The 1991 package combined fiscal and external adjustment with industrial, trade, financial and public-enterprise reforms.
- **Analytical inference:** Stabilisation creates breathing space, while structural change can improve efficiency and export capacity.
- **Qualification:** Short-run adjustment costs and long-run gains need separate evidence.

PRELIMS TRAP

Do not call every 1991 measure liberalisation.

MAINS USE

Classify each measure by objective and time horizon.

MINI RECAP

- Definition: Stabilisation restores macro balance; structural reform changes institutions and incentives affecting supply and productivity.
- Evidence anchor: The 1991 package combined fiscal and external adjustment with industrial, trade, financial and public-enterprise reforms.
- Verdict: Austerity, exchange-rate action and industrial delicensing operate on different horizons.

CORE SESSION 16 - New Industrial Policy pillars

VISUAL FIRST

DELICENSING + PSU POLICY + MRTP CHANGE + FDI/TECH OPENING

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

The New Industrial Policy of 24 July 1991 reorganised entry, public-sector scope, large-firm control and foreign investment or technology policy.

ANSWER-GRABBING LINE: Its pillars formed a connected incentive package.

MUST-WRITE KEYWORDS: its, pillars, formed, a, connected, incentive, package, the, official, statement, abolished, licensing

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Its pillars formed a connected incentive package.
- **Named evidence:** The official Statement abolished licensing for most industries, reduced public-sector reservation, removed MRTP pre-entry constraints and expanded automatic foreign investment and technology routes.
- **Analysis:** Together these measures increased firm choice, contestability, scale and technology access.
- **Qualification / demand link:** Trade, exchange-rate and financial reforms were complementary but not identical to NIP clauses.

EVIDENCE AND INFERENCE

- **Fact/evidence:** The official Statement abolished licensing for most industries, reduced public-sector reservation, removed MRTP pre-entry constraints and expanded automatic foreign investment and technology routes.
- **Analytical inference:** Together these measures increased firm choice, contestability, scale and technology access.
- **Qualification:** Trade, exchange-rate and financial reforms were complementary but not identical to NIP clauses.

PRELIMS TRAP

Do not use LPG as a substitute for naming pillars.

MAINS USE

Write the four pillars before evaluating outcomes.

MINI RECAP

- Definition: The New Industrial Policy of 24 July 1991 reorganised entry, public-sector scope, large-firm control and foreign investment or technology policy.
- Evidence anchor: The official Statement abolished licensing for most industries, reduced public-sector reservation, removed MRTP pre-entry constraints and expanded automatic foreign investment and technology routes.
- Verdict: Its pillars formed a connected incentive package.

CORE SESSION 17 - Industrial delicensing

VISUAL FIRST

NO PRIOR INDUSTRIAL LICENCE FOR MOST SECTORS -> EASIER ENTRY/EXPANSION

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

Delicensing removes the requirement for prior industrial approval while leaving other laws applicable.

ANSWER-GRABBING LINE: Delicensing shifts allocation from administrative permission toward investment decisions and market tests.

MUST-WRITE KEYWORDS: delicensing, shifts, allocation, from, administrative, permission, toward, investment, decisions, and, market, tests

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Delicensing shifts allocation from administrative permission toward investment decisions and market tests.
- **Named evidence:** The 1991 Statement abolished licensing except a negative list that was progressively reduced.
- **Analysis:** Entry and expansion became easier, increasing competitive and productivity pressure.
- **Qualification / demand link:** Land, environment, safety, sector, competition and local approvals may still apply.

EVIDENCE AND INFERENCE

- **Fact/evidence:** The 1991 Statement abolished licensing except a negative list that was progressively reduced.
- **Analytical inference:** Entry and expansion became easier, increasing competitive and productivity pressure.
- **Qualification:** Land, environment, safety, sector, competition and local approvals may still apply.

PRELIMS TRAP

Do not equate delicensing with deregulation of everything.

MAINS USE

Use licence removal as an entry reform, not a universal exemption.

MINI RECAP

- Definition: Delicensing removes the requirement for prior industrial approval while leaving other laws applicable.
- Evidence anchor: The 1991 Statement abolished licensing except a negative list that was progressively reduced.
- Verdict: Delicensing shifts allocation from administrative permission toward investment decisions and market tests.

CORE SESSION 18 - Current compulsory-licensing list

VISUAL FIRST

2025 DPIIT LIST -> DEFENCE/AEROSPACE + EXPLOSIVES + SPECIFIED HAZARDOUS CHEMICALS + TOBACCO CIGARS/CIGARETTES

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

Compulsory industrial licensing now applies to a short officially notified set of industries.

ANSWER-GRABBING LINE: The current list reflects security, safety, hazard and health concerns rather than general capacity planning.

MUST-WRITE KEYWORDS: the, current, list, reflects, security, safety, hazard, and, health, concerns, rather, than

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** The current list reflects security, safety, hazard and health concerns rather than general capacity planning.
- **Named evidence:** DPIIT's official list checked 9 September 2026 contains electronic aerospace and defence equipment, industrial explosives, specified hazardous chemicals, and cigars/cigarettes of tobacco and manufactured substitutes.
- **Analysis:** Targeted licensing preserves public-risk scrutiny after general delicensing.
- **Qualification / demand link:** Item scope and Arms Act or sector rules require the current notification; no fresh tobacco licences have been granted on health grounds since 1999.

EVIDENCE AND INFERENCE

- **Fact/evidence:** DPIIT's official list checked 9 September 2026 contains electronic aerospace and defence equipment, industrial explosives, specified hazardous chemicals, and cigars/cigarettes of tobacco and manufactured substitutes.
- **Analytical inference:** Targeted licensing preserves public-risk scrutiny after general delicensing.
- **Qualification:** Item scope and Arms Act or sector rules require the current notification; no fresh tobacco licences have been granted on health grounds since 1999.

PRELIMS TRAP

Do not cite an obsolete longer negative list.

MAINS USE

Date the four-category list and preserve statutory qualifications.

MINI RECAP

- Definition: Compulsory industrial licensing now applies to a short officially notified set of industries.
- Evidence anchor: DPIIT's official list checked 9 September 2026 contains electronic aerospace and defence equipment, industrial explosives, specified hazardous chemicals, and cigars/cigarettes of tobacco and manufactured substitutes.
- Verdict: The current list reflects security, safety, hazard and health concerns rather than general capacity planning.

CORE SESSION 19 - Current public-sector reservation

VISUAL FIRST

ATOMIC ENERGY + RAILWAY TRANSPORT -> STRATEGIC PUBLIC DOMAIN

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

Public-sector reservation identifies activities retained for the State under current industrial-policy statements.

ANSWER-GRABBING LINE: Reservation was drastically narrowed after 1991.

MUST-WRITE KEYWORDS: reservation, was, drastically, narrowed, after, 1991, dpiit's, status, note, checked, 9, september

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Reservation was drastically narrowed after 1991.
- **Named evidence:** DPIIT's status note checked 9 September 2026 identifies Atomic Energy and core Railway operations, subject to notified exceptions such as mass rapid transport and specified infrastructure activities, as reserved public-sector areas.
- **Analysis:** The reduction opened many sectors while retaining sovereign or strategic functions.
- **Qualification / demand link:** Private participation may occur in components or services under separate laws without erasing the reserved core.

EVIDENCE AND INFERENCE

- **Fact/evidence:** DPIIT's status note checked 9 September 2026 identifies Atomic Energy and core Railway operations, subject to notified exceptions such as mass rapid transport and specified infrastructure activities, as reserved public-sector areas.
- **Analytical inference:** The reduction opened many sectors while retaining sovereign or strategic functions.
- **Qualification:** Private participation may occur in components or services under separate laws without erasing the reserved core.

PRELIMS TRAP

Do not read 'railway transport' as a ban on every private railway contract.

MAINS USE

Distinguish reserved activity from procurement or partnership.

MINI RECAP

- Definition: Public-sector reservation identifies activities retained for the State under current industrial-policy statements.
- Evidence anchor: DPIIT's status note checked 9 September 2026 identifies Atomic Energy and core Railway operations, subject to notified exceptions such as mass rapid transport and specified infrastructure activities, as reserved public-sector areas.
- Verdict: Reservation was drastically narrowed after 1991.

CORE SESSION 20 - MRTP changes in 1991

VISUAL FIRST

REMOVE ASSET THRESHOLD/PRE-ENTRY APPROVAL -> FOCUS LATER SHIFTS TO CONDUCT

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

The 1991 policy removed major prior-approval requirements for MRTP companies' entry, expansion and merger decisions.

ANSWER-GRABBING LINE: Large size ceased to be treated automatically as the primary policy problem.

MUST-WRITE KEYWORDS: large, size, ceased, to, be, treated, automatically, as, the, primary, policy, problem

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Large size ceased to be treated automatically as the primary policy problem.
- **Named evidence:** The NIP stated that the asset-threshold concept and pre-entry scrutiny would be removed.
- **Analysis:** This allowed scale and restructuring, but raised the need for effective competition oversight.
- **Qualification / demand link:** The Competition Act, 2002 later supplied a different legal framework; the transition was not instantaneous.

EVIDENCE AND INFERENCE

- **Fact/evidence:** The NIP stated that the asset-threshold concept and pre-entry scrutiny would be removed.
- **Analytical inference:** This allowed scale and restructuring, but raised the need for effective competition oversight.
- **Qualification:** The Competition Act, 2002 later supplied a different legal framework; the transition was not instantaneous.

PRELIMS TRAP

Do not say dominance itself is illegal.

MAINS USE

Contrast size, conduct, market power and abuse.

MINI RECAP

- Definition: The 1991 policy removed major prior-approval requirements for MRTP companies' entry, expansion and merger decisions.
- Evidence anchor: The NIP stated that the asset-threshold concept and pre-entry scrutiny would be removed.
- Verdict: Large size ceased to be treated automatically as the primary policy problem.

CORE SESSION 21 - FDI liberalisation

VISUAL FIRST

AUTOMATIC APPROVAL IN HIGH-PRIORITY INDUSTRIES -> CAPITAL + TECHNOLOGY + MARKET LINK

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

Foreign direct investment liberalisation eased ownership and approval rules for eligible industrial activity.

ANSWER-GRABBING LINE: FDI reform sought capital, technology and access while preserving sector-specific conditions.

MUST-WRITE KEYWORDS: fdi, reform, sought, capital, technology, and, access, while, preserving, sector-specific, conditions, the

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** FDI reform sought capital, technology and access while preserving sector-specific conditions.
- **Named evidence:** The 1991 Statement introduced automatic approval up to 51 per cent foreign equity in specified high-priority industries.
- **Analysis:** Foreign investment can intensify competition and connect firms to global production networks.
- **Qualification / demand link:** Spillovers depend on domestic supplier capability, competition, R&D and bargaining; current sector caps differ.

EVIDENCE AND INFERENCE

- **Fact/evidence:** The 1991 Statement introduced automatic approval up to 51 per cent foreign equity in specified high-priority industries.
- **Analytical inference:** Foreign investment can intensify competition and connect firms to global production networks.
- **Qualification:** Spillovers depend on domestic supplier capability, competition, R&D and bargaining; current sector caps differ.

PRELIMS TRAP

Do not apply the historical 51 per cent rule as today's universal cap.

MAINS USE

Date historical policy and check current sector rules separately.

MINI RECAP

- Definition: Foreign direct investment liberalisation eased ownership and approval rules for eligible industrial activity.
- Evidence anchor: The 1991 Statement introduced automatic approval up to 51 per cent foreign equity in specified high-priority industries.
- Verdict: FDI reform sought capital, technology and access while preserving sector-specific conditions.

CORE SESSION 22 - Foreign technology agreements

VISUAL FIRST

AUTOMATIC ROUTE WITH CONDITIONS -> FASTER TECHNOLOGY ACCESS

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

Technology-agreement liberalisation reduced case-by-case approval for eligible foreign technical collaboration.

ANSWER-GRABBING LINE: Technology access can raise productivity when firms possess complementary skills and absorption capacity.

MUST-WRITE KEYWORDS: technology, access, can, raise, productivity, when, firms, possess, complementary, skills, and, absorption

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Technology access can raise productivity when firms possess complementary skills and absorption capacity.
- **Named evidence:** The 1991 Statement provided automatic permission for specified foreign technology agreements within prescribed limits.
- **Analysis:** Faster contracting reduced delay and widened technical choice.
- **Qualification / demand link:** Royalty, intellectual-property, competition and domestic learning effects require separate assessment.

EVIDENCE AND INFERENCE

- **Fact/evidence:** The 1991 Statement provided automatic permission for specified foreign technology agreements within prescribed limits.
- **Analytical inference:** Faster contracting reduced delay and widened technical choice.
- **Qualification:** Royalty, intellectual-property, competition and domestic learning effects require separate assessment.

PRELIMS TRAP

Do not equate imported machinery with technology absorption.

MAINS USE

Link agreement reform to capability, not only approval speed.

MINI RECAP

- Definition: Technology-agreement liberalisation reduced case-by-case approval for eligible foreign technical collaboration.
- Evidence anchor: The 1991 Statement provided automatic permission for specified foreign technology agreements within prescribed limits.
- Verdict: Technology access can raise productivity when firms possess complementary skills and absorption capacity.

CORE SESSION 23 - Liberalisation, privatisation and globalisation

VISUAL FIRST

L: LESS CONTROL | P: PRIVATE OWNERSHIP/CONTROL | G: CROSS-BORDER INTEGRATION

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

Liberalisation reduces controls, privatisation increases private ownership or control, and globalisation deepens cross-border flows and production links.

ANSWER-GRABBING LINE: The three processes can occur together but are not synonyms.

MUST-WRITE KEYWORDS: the, three, processes, can, occur, together, but, are, not, synonyms, a, delicensed

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** The three processes can occur together but are not synonyms.
- **Named evidence:** A delicensed State-owned firm is liberalised but not privatised; an OFS may disinvest without transferring control.
- **Analysis:** Precise distinctions prevent false causal claims about reform outcomes.
- **Qualification / demand link:** Deregulation is narrower still: removal or redesign of specific rules.

EVIDENCE AND INFERENCE

- **Fact/evidence:** A delicensed State-owned firm is liberalised but not privatised; an OFS may disinvest without transferring control.
- **Analytical inference:** Precise distinctions prevent false causal claims about reform outcomes.
- **Qualification:** Deregulation is narrower still: removal or redesign of specific rules.

PRELIMS TRAP

Do not expand LPG as if each letter describes the same act.

MAINS USE

Give one counterexample for each boundary.

MINI RECAP

- Definition: Liberalisation reduces controls, privatisation increases private ownership or control, and globalisation deepens cross-border flows and production links.
- Evidence anchor: A delicensed State-owned firm is liberalised but not privatised; an OFS may disinvest without transferring control.
- Verdict: The three processes can occur together but are not synonyms.

CORE SESSION 24 - Deregulation and re-regulation

VISUAL FIRST

REMOVE ENTRY CONTROL -> ADD COMPETITION/SAFETY/ENVIRONMENT RULES

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

Deregulation removes or relaxes rules; re-regulation creates institutions suited to competitive markets and public risks.

ANSWER-GRABBING LINE: Market reform changes the type of State action rather than ending the State.

MUST-WRITE KEYWORDS: market, reform, changes, the, type, of, state, action, rather, than, ending, post-1991

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Market reform changes the type of State action rather than ending the State.
- **Named evidence:** Post-1991 India reduced industrial licensing while developing competition, securities, environmental and sector-regulatory frameworks.
- **Analysis:** Contestability improves only if network access, consumer protection and abuse controls function.
- **Qualification / demand link:** Poorly designed regulation can preserve incumbent power or impose excessive compliance cost.

EVIDENCE AND INFERENCE

- **Fact/evidence:** Post-1991 India reduced industrial licensing while developing competition, securities, environmental and sector-regulatory frameworks.
- **Analytical inference:** Contestability improves only if network access, consumer protection and abuse controls function.
- **Qualification:** Poorly designed regulation can preserve incumbent power or impose excessive compliance cost.

PRELIMS TRAP

Do not equate fewer licences with no regulation.

MAINS USE

Frame reform as control-to-rule transition.

MINI RECAP

- Definition: Deregulation removes or relaxes rules; re-regulation creates institutions suited to competitive markets and public risks.
- Evidence anchor: Post-1991 India reduced industrial licensing while developing competition, securities, environmental and sector-regulatory frameworks.
- Verdict: Market reform changes the type of State action rather than ending the State.

CORE SESSION 25 - Why public enterprises

VISUAL FIRST

STRATEGIC RISK + NATURAL MONOPOLY + BASIC INDUSTRY + SOCIAL SERVICE + DEVELOPMENT

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

Public enterprises are State-owned production or service entities used for commercial and public-policy purposes.

ANSWER-GRABBING LINE: The rationale must be stated enterprise by enterprise.

MUST-WRITE KEYWORDS: the, rationale, must, be, stated, enterprise, by, post-independence, cpses, built, heavy, industry

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** The rationale must be stated enterprise by enterprise.
- **Named evidence:** Post-Independence CPSEs built heavy industry, energy, infrastructure, finance and strategic capability.
- **Analysis:** State ownership can mobilise long-horizon investment or universal service when markets underprovide.
- **Qualification / demand link:** A public purpose does not justify weak governance or permanently implicit subsidy.

EVIDENCE AND INFERENCE

- **Fact/evidence:** Post-Independence CPSEs built heavy industry, energy, infrastructure, finance and strategic capability.
- **Analytical inference:** State ownership can mobilise long-horizon investment or universal service when markets underprovide.
- **Qualification:** A public purpose does not justify weak governance or permanently implicit subsidy.

PRELIMS TRAP

Do not label every CPSE a natural monopoly.

MAINS USE

Name strategic, network, developmental or distributional mandate.

MINI RECAP

- Definition: Public enterprises are State-owned production or service entities used for commercial and public-policy purposes.
- Evidence anchor: Post-Independence CPSEs built heavy industry, energy, infrastructure, finance and strategic capability.
- Verdict: The rationale must be stated enterprise by enterprise.

CORE SESSION 26 - PSU, PSE and CPSE

VISUAL FIRST

PUBLIC SECTOR UNDERTAKING (BROAD) -> PSE -> CENTRAL PSE / STATE PSE

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

PSU is a broad usage; CPSE specifically denotes a Central Public Sector Enterprise under Union ownership/control conventions.

ANSWER-GRABBING LINE: Ownership level and legal form matter for accountability.

MUST-WRITE KEYWORDS: ownership, level, and, legal, form, matter, for, accountability, the, dpe, public, enterprises

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Ownership level and legal form matter for accountability.
- **Named evidence:** The DPE Public Enterprises Survey covers CPSEs, not every departmental unit or State enterprise.
- **Analysis:** Precise terminology links the enterprise to the correct ministry, survey and governance rules.
- **Qualification / demand link:** Statutory corporations and government companies have different constitutive laws.

EVIDENCE AND INFERENCE

- **Fact/evidence:** The DPE Public Enterprises Survey covers CPSEs, not every departmental unit or State enterprise.
- **Analytical inference:** Precise terminology links the enterprise to the correct ministry, survey and governance rules.
- **Qualification:** Statutory corporations and government companies have different constitutive laws.

PRELIMS TRAP

Do not use CPSE for every government-controlled body.

MAINS USE

State owner, legal form and control explicitly.

MINI RECAP

- Definition: PSU is a broad usage; CPSE specifically denotes a Central Public Sector Enterprise under Union ownership/control conventions.
- Evidence anchor: The DPE Public Enterprises Survey covers CPSEs, not every departmental unit or State enterprise.
- Verdict: Ownership level and legal form matter for accountability.

CORE SESSION 27 - Forms of public enterprise

VISUAL FIRST

DEPARTMENTAL UNDERTAKING | STATUTORY CORPORATION | GOVERNMENT COMPANY

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

Public enterprises may operate within a department, under a special statute or as a government company under company law.

ANSWER-GRABBING LINE: Legal form changes autonomy, audit, board and parliamentary accountability.

MUST-WRITE KEYWORDS: legal, form, changes, autonomy, audit, board, and, parliamentary, accountability, railway, departmental, activity

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Legal form changes autonomy, audit, board and parliamentary accountability.
- **Named evidence:** Railway departmental activity and statutory corporations differ from a Companies Act section 2(45) government company, where at least 51 per cent of paid-up share capital is held by the Central Government, State government(s), or jointly; the definition includes a subsidiary of such a company.
- **Analysis:** Corporate form can improve commercial flexibility, while statutory mandates preserve public obligations.
- **Qualification / demand link:** Ownership and regulation must remain separate even when the State performs both roles.

EVIDENCE AND INFERENCE

- **Fact/evidence:** Railway departmental activity and statutory corporations differ from a Companies Act section 2(45) government company, where at least 51 per cent of paid-up share capital is held by the Central Government, State government(s), or jointly; the definition includes a subsidiary of such a company.
- **Analytical inference:** Corporate form can improve commercial flexibility, while statutory mandates preserve public obligations.
- **Qualification:** Ownership and regulation must remain separate even when the State performs both roles.

PRELIMS TRAP

Do not infer Maharatna eligibility for a departmental undertaking.

MAINS USE

Compare source of authority, board, accounts and oversight.

MINI RECAP

- Definition: Public enterprises may operate within a department, under a special statute or as a government company under company law.
- Evidence anchor: Railway departmental activity and statutory corporations differ from a Companies Act section 2(45) government company, where at least 51 per cent of paid-up share capital is held by the Central Government, State government(s), or jointly; the definition includes a subsidiary of such a company.
- Verdict: Legal form changes autonomy, audit, board and parliamentary accountability.

CORE SESSION 28 - CPSE ownership and governance

VISUAL FIRST

PRESIDENT/GOVERNMENT SHAREHOLDING -> ADMIN MINISTRY + BOARD + DPE/DIPAM + CAG/PARLIAMENT

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

CPSE governance distributes ownership, policy, board management, audit and market obligations across institutions.

ANSWER-GRABBING LINE: The administrative ministry should not be confused with daily management or sector regulation.

MUST-WRITE KEYWORDS: the, administrative, ministry, should, not, be, confused, with, daily, management, or, sector

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** The administrative ministry should not be confused with daily management or sector regulation.
- **Named evidence:** DPE frames public-enterprise policy, DIPAM manages investment/public-asset transactions, boards manage companies, and CAG/Parliament provide specified oversight.
- **Analysis:** Clear role separation reduces conflicting objectives and ad hoc intervention.
- **Qualification / demand link:** Listed CPSEs also face Companies Act and SEBI obligations.

EVIDENCE AND INFERENCE

- **Fact/evidence:** DPE frames public-enterprise policy, DIPAM manages investment/public-asset transactions, boards manage companies, and CAG/Parliament provide specified oversight.
- **Analytical inference:** Clear role separation reduces conflicting objectives and ad hoc intervention.
- **Qualification:** Listed CPSEs also face Companies Act and SEBI obligations.

PRELIMS TRAP

Do not say DIPAM runs CPSE operations.

MAINS USE

Map owner, policy department, board, regulator and auditor.

MINI RECAP

- Definition: CPSE governance distributes ownership, policy, board management, audit and market obligations across institutions.
- Evidence anchor: DPE frames public-enterprise policy, DIPAM manages investment/public-asset transactions, boards manage companies, and CAG/Parliament provide specified oversight.
- Verdict: The administrative ministry should not be confused with daily management or sector regulation.

CORE SESSION 29 - Commercial and social mandates

VISUAL FIRST

COMMERCIAL RETURN + EXPLICIT PUBLIC SERVICE OBLIGATION -> COMPENSATE/MEASURE

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

A public-service obligation is a government-required non-commercial service that should be explicitly defined, costed and monitored.

ANSWER-GRABBING LINE: Hidden mandates make performance comparison misleading.

MUST-WRITE KEYWORDS: hidden, mandates, make, performance, comparison, misleading, cpses, may, maintain, strategic, capacity, remote

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Hidden mandates make performance comparison misleading.
- **Named evidence:** CPSEs may maintain strategic capacity, remote service or price stabilisation alongside commercial operations.
- **Analysis:** Explicit budgeting separates policy cost from managerial inefficiency and improves accountability.
- **Qualification / demand link:** Some strategic benefits are difficult to value but still require indicators.

EVIDENCE AND INFERENCE

- **Fact/evidence:** CPSEs may maintain strategic capacity, remote service or price stabilisation alongside commercial operations.
- **Analytical inference:** Explicit budgeting separates policy cost from managerial inefficiency and improves accountability.
- **Qualification:** Some strategic benefits are difficult to value but still require indicators.

PRELIMS TRAP

Do not treat every loss as either social service or mismanagement without evidence.

MAINS USE

Separate commercial account from mandate account.

MINI RECAP

- Definition: A public-service obligation is a government-required non-commercial service that should be explicitly defined, costed and monitored.
- Evidence anchor: CPSEs may maintain strategic capacity, remote service or price stabilisation alongside commercial operations.
- Verdict: Hidden mandates make performance comparison misleading.

CORE SESSION 30 - Soft budget constraint

VISUAL FIRST

EXPECTATION OF BAILOUT -> WEAK EXIT/INVESTMENT DISCIPLINE

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

A soft budget constraint exists when an enterprise expects losses or debts to be covered rather than facing credible restructuring or exit.

ANSWER-GRABBING LINE: Implicit rescue can protect essential service but weaken incentives.

MUST-WRITE KEYWORDS: implicit, rescue, can, protect, essential, service, but, weaken, incentives, repeated, budget, support

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Implicit rescue can protect essential service but weaken incentives.
- **Named evidence:** Repeated budget support, sovereign guarantees or debt rollover can reduce pressure to control cost and allocate capital.
- **Analysis:** Harder performance contracts and credible restructuring improve discipline.
- **Qualification / demand link:** A temporary strategic rescue is not automatically a permanent soft constraint.

EVIDENCE AND INFERENCE

- **Fact/evidence:** Repeated budget support, sovereign guarantees or debt rollover can reduce pressure to control cost and allocate capital.
- **Analytical inference:** Harder performance contracts and credible restructuring improve discipline.
- **Qualification:** A temporary strategic rescue is not automatically a permanent soft constraint.

PRELIMS TRAP

Do not infer softness from public ownership alone.

MAINS USE

Look for expectation, repeated support and absent correction.

MINI RECAP

- **Definition:** A soft budget constraint exists when an enterprise expects losses or debts to be covered rather than facing credible restructuring or exit.
- **Evidence anchor:** Repeated budget support, sovereign guarantees or debt rollover can reduce pressure to control cost and allocate capital.
- **Verdict:** Implicit rescue can protect essential service but weaken incentives.

CORE SESSION 31 - Assessing CPSE performance

VISUAL FIRST

OUTPUT/PROFIT + CAPITAL EFFICIENCY + SERVICE MANDATE + STRATEGIC CAPABILITY

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

CPSE performance requires financial, operational, service and strategic measures rather than profit alone.

ANSWER-GRABBING LINE: The benchmark should match enterprise purpose and market structure.

MUST-WRITE KEYWORDS: the, benchmark, should, match, enterprise, purpose, and, market, structure, dpe, public, enterprises

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** The benchmark should match enterprise purpose and market structure.
- **Named evidence:** The DPE Public Enterprises Survey 2024-25 is the current official performance compendium checked for this package.
- **Analysis:** Profitability and dividend matter for commercial firms, while reliability, access or strategic readiness may matter elsewhere.
- **Qualification / demand link:** Aggregate survey totals can hide sector, price-cycle and enterprise effects.

EVIDENCE AND INFERENCE

- **Fact/evidence:** The DPE Public Enterprises Survey 2024-25 is the current official performance compendium checked for this package.
- **Analytical inference:** Profitability and dividend matter for commercial firms, while reliability, access or strategic readiness may matter elsewhere.
- **Qualification:** Aggregate survey totals can hide sector, price-cycle and enterprise effects.

PRELIMS TRAP

Do not use one year's profit as proof of structural efficiency.

MAINS USE

Use a balanced scorecard with explicit mandate.

MINI RECAP

- Definition: CPSE performance requires financial, operational, service and strategic measures rather than profit alone.
- Evidence anchor: The DPE Public Enterprises Survey 2024-25 is the current official performance compendium checked for this package.
- Verdict: The benchmark should match enterprise purpose and market structure.

CORE SESSION 32 - Ratna autonomy logic

VISUAL FIRST

STRONG CPSE PERFORMANCE -> DELEGATED BOARD POWERS -> FASTER COMMERCIAL DECISIONS

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

Maharatna, Navratna and Miniratna statuses delegate greater operational and investment autonomy to qualifying CPSE boards.

ANSWER-GRABBING LINE: Ratna status is an autonomy classification, not ownership dilution.

MUST-WRITE KEYWORDS: ratna, status, is, an, autonomy, classification, not, ownership, dilution, dpe, maintains, eligibility

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Ratna status is an autonomy classification, not ownership dilution.
- **Named evidence:** DPE maintains eligibility, delegated-power and review guidelines; consolidated review instructions were checked through 16 June 2026.
- **Analysis:** Greater autonomy can speed joint ventures, capital expenditure and market decisions.
- **Qualification / demand link:** Powers apply subject to conditions and do not convert subsidiaries automatically into Ratna entities.

EVIDENCE AND INFERENCE

- **Fact/evidence:** DPE maintains eligibility, delegated-power and review guidelines; consolidated review instructions were checked through 16 June 2026.
- **Analytical inference:** Greater autonomy can speed joint ventures, capital expenditure and market decisions.
- **Qualification:** Powers apply subject to conditions and do not convert subsidiaries automatically into Ratna entities.

PRELIMS TRAP

Do not rank Ratna status as a profitability guarantee.

MAINS USE

Separate eligibility, delegated powers and continuing review.

MINI RECAP

- Definition: Maharatna, Navratna and Miniratna statuses delegate greater operational and investment autonomy to qualifying CPSE boards.
- Evidence anchor: DPE maintains eligibility, delegated-power and review guidelines; consolidated review instructions were checked through 16 June 2026.
- Verdict: Ratna status is an autonomy classification, not ownership dilution.

CORE SESSION 33 - Maharatna criteria

VISUAL FIRST

NAVRATNA + LISTED + 3-YEAR TURNOVER/NET-WORTH/PAT + GLOBAL PRESENCE

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

Maharatna is the highest Ratna autonomy category for very large qualifying Navratna CPSEs.

ANSWER-GRABBING LINE: Current criteria combine scale, profitability, market discipline and international presence.

MUST-WRITE KEYWORDS: current, criteria, combine, scale, profitability, market, discipline, and, international, presence, dpe, checked

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Current criteria combine scale, profitability, market discipline and international presence.
- **Named evidence:** DPE criteria checked 9 September 2026 require Navratna status; Indian listing with prescribed public shareholding; three-year average turnover above Rs 25,000 crore, net worth above Rs 15,000 crore and profit after tax above Rs 5,000 crore; and significant global presence or international operations.
- **Analysis:** Multi-year thresholds reduce classification based on one exceptional year.
- **Qualification / demand link:** Eligibility does not itself grant every transaction approval or prove efficiency.

EVIDENCE AND INFERENCE

- **Fact/evidence:** DPE criteria checked 9 September 2026 require Navratna status; Indian listing with prescribed public shareholding; three-year average turnover above Rs 25,000 crore, net worth above Rs 15,000 crore and profit after tax above Rs 5,000 crore; and significant global presence or international operations.
- **Analytical inference:** Multi-year thresholds reduce classification based on one exceptional year.
- **Qualification:** Eligibility does not itself grant every transaction approval or prove efficiency.

PRELIMS TRAP

Do not use current thresholds without the Navratna and listing prerequisites.

MAINS USE

Write all criteria as a cumulative test.

MINI RECAP

- Definition: Maharatna is the highest Ratna autonomy category for very large qualifying Navratna CPSEs.
- Evidence anchor: DPE criteria checked 9 September 2026 require Navratna status; Indian listing with prescribed public shareholding; three-year average turnover above Rs 25,000 crore, net worth above Rs 15,000 crore and profit after tax above Rs 5,000 crore; and significant global presence or international operations.
- Verdict: Current criteria combine scale, profitability, market discipline and international presence.

CORE SESSION 34 - Navratna criteria

VISUAL FIRST

SCHEDULE A + MINIRATNA I + EXCELLENT/VERY GOOD MOU + SCORE ≥ 60

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

Navratna grants enhanced autonomy to high-performing Schedule A Miniratna Category-I CPSEs.

ANSWER-GRABBING LINE: Eligibility combines administrative classification, prior status and performance.

MUST-WRITE KEYWORDS: eligibility, combines, administrative, classification, prior, status, and, performance, current, dpe, material, checked

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Eligibility combines administrative classification, prior status and performance.
- **Named evidence:** Current DPE material checked 9 September 2026 requires Schedule A and Miniratna-I status, Excellent or Very Good MoU ratings in three of the preceding five years, and at least 60 out of 100 on six specified indicators.
- **Analysis:** The composite score balances profitability, capital use, costs, turnover and market performance.
- **Qualification / demand link:** The exact review and board conditions must follow current DPE orders, including June 2026 monitoring instructions.

EVIDENCE AND INFERENCE

- **Fact/evidence:** Current DPE material checked 9 September 2026 requires Schedule A and Miniratna-I status, Excellent or Very Good MoU ratings in three of the preceding five years, and at least 60 out of 100 on six specified indicators.
- **Analytical inference:** The composite score balances profitability, capital use, costs, turnover and market performance.
- **Qualification:** The exact review and board conditions must follow current DPE orders, including June 2026 monitoring instructions.

PRELIMS TRAP

Do not call every profitable CPSE Navratna-eligible.

MAINS USE

State prerequisite status before the score.

MINI RECAP

- Definition: Navratna grants enhanced autonomy to high-performing Schedule A Miniratna Category-I CPSEs.
- Evidence anchor: Current DPE material checked 9 September 2026 requires Schedule A and Miniratna-I status, Excellent or Very Good MoU ratings in three of the preceding five years, and at least 60 out of 100 on six specified indicators.
- Verdict: Eligibility combines administrative classification, prior status and performance.

CORE SESSION 35 - Miniratna criteria

VISUAL FIRST

CATEGORY I: 3-YEAR PROFIT + POSITIVE NET WORTH + ONE YEAR PBT $\geq$ RS30 CRORE | CATEGORY II: 3-YEAR PROFIT + POSITIVE NET WORTH

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

Miniratna categories delegate autonomy to consistently profitable CPSEs below Navratna level.

ANSWER-GRABBING LINE: Category I and II have different entry conditions and delegated powers.

MUST-WRITE KEYWORDS: category, i, and, ii, have, different, entry, conditions, delegated, powers, dpe, criteria

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Category I and II have different entry conditions and delegated powers.
- **Named evidence:** DPE criteria checked 9 September 2026 require three consecutive profitable years and positive net worth; Category I additionally requires pre-tax profit of at least Rs 30 crore in one of those years.
- **Analysis:** Multi-year profit screens seek basic commercial stability.
- **Qualification / demand link:** Current non-default, budget-support, guarantee, board and review conditions also remain applicable.

EVIDENCE AND INFERENCE

- **Fact/evidence:** DPE criteria checked 9 September 2026 require three consecutive profitable years and positive net worth; Category I additionally requires pre-tax profit of at least Rs 30 crore in one of those years.
- **Analytical inference:** Multi-year profit screens seek basic commercial stability.
- **Qualification:** Current non-default, budget-support, guarantee, board and review conditions also remain applicable.

PRELIMS TRAP

Do not swap Category-I and Category-II tests.

MAINS USE

Use the two-column distinction in Prelims.

MINI RECAP

- Definition: Miniratna categories delegate autonomy to consistently profitable CPSEs below Navratna level.
- Evidence anchor: DPE criteria checked 9 September 2026 require three consecutive profitable years and positive net worth; Category I additionally requires pre-tax profit of at least Rs 30 crore in one of those years.
- Verdict: Category I and II have different entry conditions and delegated powers.

CORE SESSION 36 - Disinvestment

VISUAL FIRST

GOVERNMENT SELLS PART/ALL EQUITY -> CAPITAL RECEIPT

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

Disinvestment is sale of part or all of government's equity in a public enterprise.

ANSWER-GRABBING LINE: Disinvestment changes ownership share but need not change control.

MUST-WRITE KEYWORDS: disinvestment, changes, ownership, share, but, need, not, change, control, dipam's, policy, distinguishes

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Disinvestment changes ownership share but need not change control.
- **Named evidence:** DIPAM's policy distinguishes minority stake sales from strategic disinvestment.
- **Analysis:** A sale can broaden ownership, reveal market valuation or redeploy public capital.
- **Qualification / demand link:** Receipt is one-off and transaction timing affects value.

EVIDENCE AND INFERENCE

- **Fact/evidence:** DIPAM's policy distinguishes minority stake sales from strategic disinvestment.
- **Analytical inference:** A sale can broaden ownership, reveal market valuation or redeploy public capital.
- **Qualification:** Receipt is one-off and transaction timing affects value.

PRELIMS TRAP

Do not equate every disinvestment with privatisation.

MAINS USE

Ask how much equity, to whom and whether control transfers.

MINI RECAP

- Definition: Disinvestment is sale of part or all of government's equity in a public enterprise.
- Evidence anchor: DIPAM's policy distinguishes minority stake sales from strategic disinvestment.
- Verdict: Disinvestment changes ownership share but need not change control.

CORE SESSION 37 - Minority sale and OFS

VISUAL FIRST

OFS/IPO -> MARKET SALE -> GOVERNMENT RETAINS MANAGEMENT CONTROL

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

A minority stake sale reduces government shareholding without transferring management control.

ANSWER-GRABBING LINE: Offer for Sale is a market route, not a strategic sale.

MUST-WRITE KEYWORDS: offer, for, sale, is, a, market, route, not, strategic, dipam, lists, ipo

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Offer for Sale is a market route, not a strategic sale.
- **Named evidence:** DIPAM lists IPO, OFS and other SEBI-compliant methods for minority disinvestment.
- **Analysis:** Market sales can improve liquidity, public shareholding and price discovery.
- **Qualification / demand link:** Market conditions, discount and residual control affect proceeds and governance.

EVIDENCE AND INFERENCE

- **Fact/evidence:** DIPAM lists IPO, OFS and other SEBI-compliant methods for minority disinvestment.
- **Analytical inference:** Market sales can improve liquidity, public shareholding and price discovery.

- **Qualification:** Market conditions, discount and residual control affect proceeds and governance.

PRELIMS TRAP

Do not infer privatisation from a listed CPSE's wider float.

MAINS USE

State route, stake and control.

MINI RECAP

- Definition: A minority stake sale reduces government shareholding without transferring management control.
- Evidence anchor: DIPAM lists IPO, OFS and other SEBI-compliant methods for minority disinvestment.
- Verdict: Offer for Sale is a market route, not a strategic sale.

CORE SESSION 38 - ETF and buyback

VISUAL FIRST

ETF: BASKET OF CPSE SHARES | BUYBACK: CPSE REPURCHASES SHARES

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

An exchange-traded fund packages stakes in multiple enterprises; a buyback is a company repurchase from shareholders including government.

ANSWER-GRABBING LINE: Both can realise value without transferring management control.

MUST-WRITE KEYWORDS: both, can, realise, value, without, transferring, management, control, dipam's, current, methods, and

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Both can realise value without transferring management control.
- **Named evidence:** DIPAM's current methods and capital-management material identify ETF and buyback routes.
- **Analysis:** ETF diversifies investor exposure, while buyback uses enterprise cash and changes capital structure.
- **Qualification / demand link:** A buyback may reduce company liquidity and is not sale to a strategic buyer.

EVIDENCE AND INFERENCE

- **Fact/evidence:** DIPAM's current methods and capital-management material identify ETF and buyback routes.
- **Analytical inference:** ETF diversifies investor exposure, while buyback uses enterprise cash and changes capital structure.
- **Qualification:** A buyback may reduce company liquidity and is not sale to a strategic buyer.

PRELIMS TRAP

Do not call ETF a new CPSE holding company.

MAINS USE

Differentiate basket security, company action and control.

MINI RECAP

- Definition: An exchange-traded fund packages stakes in multiple enterprises; a buyback is a company repurchase from shareholders including government.
- Evidence anchor: DIPAM's current methods and capital-management material identify ETF and buyback routes.
- Verdict: Both can realise value without transferring management control.

CORE SESSION 39 - Strategic sale and privatisation

VISUAL FIRST

SUBSTANTIAL/ENTIRE SALE + MANAGEMENT CONTROL -> STRATEGIC DISINVESTMENT

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

Strategic disinvestment involves substantial or entire government equity sale with transfer of management control; privatisation transfers control to a private buyer.

ANSWER-GRABBING LINE: Control, not only percentage sold, is the decisive distinction.

MUST-WRITE KEYWORDS: control, not, only, percentage, sold, is, the, decisive, distinction, dipam's, official, policy

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Control, not only percentage sold, is the decisive distinction.
- **Named evidence:** DIPAM's official policy and FAQ define strategic disinvestment through sale plus management control.
- **Analysis:** A strategic buyer can change incentives, capital allocation and management.
- **Qualification / demand link:** Transfer to another CPSE may be strategic disinvestment without private ownership; transaction terms are case-specific.

EVIDENCE AND INFERENCE

- **Fact/evidence:** DIPAM's official policy and FAQ define strategic disinvestment through sale plus management control.
- **Analytical inference:** A strategic buyer can change incentives, capital allocation and management.
- **Qualification:** Transfer to another CPSE may be strategic disinvestment without private ownership; transaction terms are case-specific.

PRELIMS TRAP

Do not use strategic sale and privatisation as universal synonyms.

MAINS USE

Identify buyer, equity and management control.

MINI RECAP

- Definition: Strategic disinvestment involves substantial or entire government equity sale with transfer of management control; privatisation transfers control to a private buyer.
- Evidence anchor: DIPAM's official policy and FAQ define strategic disinvestment through sale plus management control.
- Verdict: Control, not only percentage sold, is the decisive distinction.

CORE SESSION 40 - Valuation and accountability

VISUAL FIRST

CASH FLOW + ASSETS/LAND + LIABILITIES + CONTROL PREMIUM + MARKET CONDITIONS

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

Disinvestment valuation estimates enterprise and stake value using assumptions about future cash flow, assets, liabilities and control.

ANSWER-GRABBING LINE: A transparent process must protect value without treating every market difference as proof of loss.

MUST-WRITE KEYWORDS: a, transparent, process, must, protect, value, without, treating, every, market, difference, as

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** A transparent process must protect value without treating every market difference as proof of loss.
- **Named evidence:** DIPAM procedures use advisers, due diligence, eligibility, bidding and government approvals for relevant transactions.
- **Analysis:** Competition among qualified bidders and clear liabilities can improve price discovery.
- **Qualification / demand link:** Land, contingent liabilities, employee obligations and policy restrictions complicate comparison.

EVIDENCE AND INFERENCE

- **Fact/evidence:** DIPAM procedures use advisers, due diligence, eligibility, bidding and government approvals for relevant transactions.
- **Analytical inference:** Competition among qualified bidders and clear liabilities can improve price discovery.
- **Qualification:** Land, contingent liabilities, employee obligations and policy restrictions complicate comparison.

PRELIMS TRAP

Do not value a going concern by land price alone.

MAINS USE

Discuss method, assumptions, bidders, oversight and post-sale competition.

MINI RECAP

- Definition: Disinvestment valuation estimates enterprise and stake value using assumptions about future cash flow, assets, liabilities and control.
- Evidence anchor: DIPAM procedures use advisers, due diligence, eligibility, bidding and government approvals for relevant transactions.
- Verdict: A transparent process must protect value without treating every market difference as proof of loss.

CORE SESSION 41 - DIPAM role and process

VISUAL FIRST

POLICY/PIPELINE -> ADVISERS/DUE DILIGENCE -> BID/MARKET SALE -> RECEIPT/MONITOR

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

DIPAM is the Department of Investment and Public Asset Management in the Ministry of Finance.

ANSWER-GRABBING LINE: DIPAM manages disinvestment and public-asset management transactions but does not replace administrative ministries or CPSE boards.

MUST-WRITE KEYWORDS: dipam, manages, disinvestment, and, public-asset, management, transactions, but, does, not, replace, administrative

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** DIPAM manages disinvestment and public-asset management transactions but does not replace administrative ministries or CPSE boards.
- **Named evidence:** Official DIPAM pages cover disinvestment policy, methods, procedure, capital management and receipts.
- **Analysis:** Specialisation can improve transaction design and portfolio oversight.
- **Qualification / demand link:** NITI Aayog, administrative ministries, inter-ministerial bodies and Cabinet-level approvals may have roles depending on the route.

EVIDENCE AND INFERENCE

- **Fact/evidence:** Official DIPAM pages cover disinvestment policy, methods, procedure, capital management and receipts.
- **Analytical inference:** Specialisation can improve transaction design and portfolio oversight.
- **Qualification:** NITI Aayog, administrative ministries, inter-ministerial bodies and Cabinet-level approvals may have roles depending on the route.

PRELIMS TRAP

Do not say DIPAM unilaterally privatizes enterprises.

MAINS USE

Map recommendation, approval, transaction and monitoring.

MINI RECAP

- Definition: DIPAM is the Department of Investment and Public Asset Management in the Ministry of Finance.
- Evidence anchor: Official DIPAM pages cover disinvestment policy, methods, procedure, capital management and receipts.
- Verdict: DIPAM manages disinvestment and public-asset management transactions but does not replace administrative ministries or CPSE boards.

CORE SESSION 42 - Air India strategic sale

VISUAL FIRST

100% GOVERNMENT EQUITY + MANAGEMENT CONTROL -> PRIVATE STRATEGIC BUYER (JAN 2022)

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

Air India's transfer illustrates completed privatisation through strategic disinvestment.

ANSWER-GRABBING LINE: The case makes the control distinction concrete.

MUST-WRITE KEYWORDS: the, case, makes, control, distinction, concrete, union, government's, air, india, shareholding, and

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** The case makes the control distinction concrete.
- **Named evidence:** The Union government's Air India shareholding and management transferred to Talace Private Limited in January 2022.
- **Analysis:** A private owner assumed commercial control after liabilities and assets were structured for the transaction.
- **Qualification / demand link:** One airline transaction cannot establish outcomes for every CPSE or network market.

EVIDENCE AND INFERENCE

- **Fact/evidence:** The Union government's Air India shareholding and management transferred to Talace Private Limited in January 2022.
- **Analytical inference:** A private owner assumed commercial control after liabilities and assets were structured for the transaction.
- **Qualification:** One airline transaction cannot establish outcomes for every CPSE or network market.

PRELIMS TRAP

Do not call Air India an OFS.

MAINS USE

Use it only as a route example with date.

MINI RECAP

- Definition: Air India's transfer illustrates completed privatisation through strategic disinvestment.
- Evidence anchor: The Union government's Air India shareholding and management transferred to Talace Private Limited in January 2022.
- Verdict: The case makes the control distinction concrete.

CORE SESSION 43 - New PSE Policy 2021

VISUAL FIRST

STRATEGIC SECTORS: BARE MINIMUM PUBLIC PRESENCE | NON-STRATEGIC: PRIVATISE/CLOSE

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

The New Public Sector Enterprise Policy notified 4 February 2021 seeks a minimal public-commercial-enterprise presence.

ANSWER-GRABBING LINE: The policy is an ownership framework, not proof that every announced transaction is complete.

MUST-WRITE KEYWORDS: the, policy, is, an, ownership, framework, not, proof, that, every, announced, transaction

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** The policy is an ownership framework, not proof that every announced transaction is complete.
- **Named evidence:** DIPAM's policy defines strategic and non-strategic sectors and routes enterprises toward retention, privatisation, merger, subsidiarisation or closure.
- **Analysis:** Concentration of State capital may sharpen strategic focus.
- **Qualification / demand link:** Implementation depends on enterprise readiness, market interest, law, labour and transaction conditions.

EVIDENCE AND INFERENCE

- **Fact/evidence:** DIPAM's policy defines strategic and non-strategic sectors and routes enterprises toward retention, privatisation, merger, subsidiarisation or closure.
- **Analytical inference:** Concentration of State capital may sharpen strategic focus.
- **Qualification:** Implementation depends on enterprise readiness, market interest, law, labour and transaction conditions.

PRELIMS TRAP

Do not treat policy classification as completed privatisation.

MAINS USE

Date policy intent and current transaction status separately.

MINI RECAP

- Definition: The New Public Sector Enterprise Policy notified 4 February 2021 seeks a minimal public-commercial-enterprise presence.
- Evidence anchor: DIPAM's policy defines strategic and non-strategic sectors and routes enterprises toward retention, privatisation, merger, subsidiarisation or closure.
- Verdict: The policy is an ownership framework, not proof that every announced transaction is complete.

CORE SESSION 44 - Four strategic-sector groups

VISUAL FIRST

1 ATOMIC/SPACE/DEFENCE | 2 TRANSPORT/TELECOM | 3 POWER/PETROLEUM/COAL/MINERALS | 4 FINANCE

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

The 2021 PSE Policy groups strategic activity into four broad sector sets.

ANSWER-GRABBING LINE: Strategic classification retains only a bare minimum public-sector commercial presence at holding-company level.

MUST-WRITE KEYWORDS: strategic, classification, retains, only, a, bare, minimum, public-sector, commercial, presence, at, holding-company

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Strategic classification retains only a bare minimum public-sector commercial presence at holding-company level.
- **Named evidence:** Official groups are Atomic Energy, Space and Defence; Transport and Telecommunications; Power, Petroleum, Coal and other Minerals; and Banking, Insurance and Financial Services.
- **Analysis:** The framework distinguishes sovereign capability and systemic services from blanket State production.
- **Qualification / demand link:** Which enterprise is retained or restructured is a separate decision.

EVIDENCE AND INFERENCE

- **Fact/evidence:** Official groups are Atomic Energy, Space and Defence; Transport and Telecommunications; Power, Petroleum, Coal and other Minerals; and Banking, Insurance and Financial Services.
- **Analytical inference:** The framework distinguishes sovereign capability and systemic services from blanket State production.
- **Qualification:** Which enterprise is retained or restructured is a separate decision.

PRELIMS TRAP

Do not expand 'bare minimum' into a fixed number without authority.

MAINS USE

Memorise the four groups and implementation caveat.

MINI RECAP

- Definition: The 2021 PSE Policy groups strategic activity into four broad sector sets.
- Evidence anchor: Official groups are Atomic Energy, Space and Defence; Transport and Telecommunications; Power, Petroleum, Coal and other Minerals; and Banking, Insurance and Financial Services.
- Verdict: Strategic classification retains only a bare minimum public-sector commercial presence at holding-company level.

CORE SESSION 45 - Non-strategic sector and closure

VISUAL FIRST

VIABLE FOR SALE -> PRIVATISE | NOT FEASIBLE -> CLOSE/RESTRUCTURE

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

Under the 2021 policy, non-strategic CPSEs are considered for privatisation where feasible or closure.

ANSWER-GRABBING LINE: Exit policy must address workers, liabilities, land, creditors and essential service.

MUST-WRITE KEYWORDS: exit, policy, must, address, workers, liabilities, land, creditors, and, essential, service, dpe

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Exit policy must address workers, liabilities, land, creditors and essential service.
- **Named evidence:** DPE and DIPAM frameworks interact with administrative ministries for closure or strategic-disinvestment decisions.
- **Analysis:** Credible exit prevents indefinite capital lock-in and soft budgets.
- **Qualification / demand link:** Closure is not equivalent to insolvency, and statutory processes vary.

EVIDENCE AND INFERENCE

- **Fact/evidence:** DPE and DIPAM frameworks interact with administrative ministries for closure or strategic-disinvestment decisions.
- **Analytical inference:** Credible exit prevents indefinite capital lock-in and soft budgets.
- **Qualification:** Closure is not equivalent to insolvency, and statutory processes vary.

PRELIMS TRAP

Do not call every loss-making CPSE non-strategic.

MAINS USE

Separate sector classification, viability and chosen exit route.

MINI RECAP

- Definition: Under the 2021 policy, non-strategic CPSEs are considered for privatisation where feasible or closure.
- Evidence anchor: DPE and DIPAM frameworks interact with administrative ministries for closure or strategic-disinvestment decisions.
- Verdict: Exit policy must address workers, liabilities, land, creditors and essential service.

CORE SESSION 46 - Current disinvestment target and status

VISUAL FIRST

2026-27 MISC CAPITAL RECEIPTS BE RS80,000 CRORE | 2025-26 RE RS33,837 CRORE

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

Budgetary miscellaneous capital receipts combine disinvestment and specified asset-monetisation receipts rather than a pure standalone disinvestment target.

ANSWER-GRABBING LINE: The denominator and receipt head must be stated before comparing performance.

MUST-WRITE KEYWORDS: the, denominator, and, receipt, head, must, be, stated, before, comparing, performance, budget

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** The denominator and receipt head must be stated before comparing performance.
- **Named evidence:** Receipt Budget 2026-27 sets Rs 80,000 crore BE; the 2025-26 RE is Rs 33,837 crore. DIPAM's portal displayed FY2025-26 disinvestment receipts of Rs 16,885.56 crore when checked 9 September 2026.
- **Analysis:** The gap shows transaction timing, market and implementation risk.
- **Qualification / demand link:** Combined budget receipts and DIPAM disinvestment receipts are not directly identical series.

EVIDENCE AND INFERENCE

- **Fact/evidence:** Receipt Budget 2026-27 sets Rs 80,000 crore BE; the 2025-26 RE is Rs 33,837 crore. DIPAM's portal displayed FY2025-26 disinvestment receipts of Rs 16,885.56 crore when checked 9 September 2026.
- **Analytical inference:** The gap shows transaction timing, market and implementation risk.
- **Qualification:** Combined budget receipts and DIPAM disinvestment receipts are not directly identical series.

PRELIMS TRAP

Do not call Rs 80,000 crore a pure CPSE-sale target.

MAINS USE

Write BE, RE, actual portal figure and classification separately.

MINI RECAP

- Definition: Budgetary miscellaneous capital receipts combine disinvestment and specified asset-monetisation receipts rather than a pure standalone disinvestment target.
- Evidence anchor: Receipt Budget 2026-27 sets Rs 80,000 crore BE; the 2025-26 RE is Rs 33,837 crore. DIPAM's portal displayed FY2025-26 disinvestment receipts of Rs 16,885.56 crore when checked 9 September 2026.
- Verdict: The denominator and receipt head must be stated before comparing performance.

CORE SESSION 47 - Asset monetisation

VISUAL FIRST

PUBLIC OWNERSHIP RETAINED + TIME-BOUND REVENUE/OPERATING RIGHTS -> UPFRONT/PERIODIC VALUE

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

Asset monetisation unlocks value from operational public assets without necessarily selling enterprise equity.

ANSWER-GRABBING LINE: Monetisation differs from disinvestment in object, duration and control.

MUST-WRITE KEYWORDS: monetisation, differs, from, disinvestment, in, object, duration, and, control, brownfield, concessions, invit-type

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Monetisation differs from disinvestment in object, duration and control.
- **Named evidence:** Brownfield concessions, InvIT-type structures or leases can transfer operating or revenue rights while ownership ultimately remains public.
- **Analysis:** Proceeds may finance new infrastructure and improve utilisation.
- **Qualification / demand link:** Contract design, user charges, service quality and contingent liabilities remain.

EVIDENCE AND INFERENCE

- **Fact/evidence:** Brownfield concessions, InvIT-type structures or leases can transfer operating or revenue rights while ownership ultimately remains public.
- **Analytical inference:** Proceeds may finance new infrastructure and improve utilisation.
- **Qualification:** Contract design, user charges, service quality and contingent liabilities remain.

PRELIMS TRAP

Do not equate the National Monetisation Pipeline with privatisation.

MAINS USE

Compare equity sale, asset right and closure.

MINI RECAP

- Definition: Asset monetisation unlocks value from operational public assets without necessarily selling enterprise equity.
- Evidence anchor: Brownfield concessions, InvIT-type structures or leases can transfer operating or revenue rights while ownership ultimately remains public.
- Verdict: Monetisation differs from disinvestment in object, duration and control.

CORE SESSION 48 - Nationalisation and denationalisation

VISUAL FIRST

PRIVATE -> STATE OWNERSHIP = NATIONALISATION | STATE -> PRIVATE CONTROL = DENATIONALISATION

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

Nationalisation transfers private assets or enterprises into State ownership; denationalisation reverses ownership or control toward private hands.

ANSWER-GRABBING LINE: The terms describe direction of ownership change, not automatic performance effects.

MUST-WRITE KEYWORDS: the, terms, describe, direction, of, ownership, change, not, automatic, performance, effects, indian

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** The terms describe direction of ownership change, not automatic performance effects.
- **Named evidence:** Indian examples include historical bank or airline nationalisation and later Air India privatisation.
- **Analysis:** Ownership change can pursue stability, access, strategic control or efficiency.
- **Qualification / demand link:** Regulation and competition still determine outcomes after either direction.

EVIDENCE AND INFERENCE

- **Fact/evidence:** Indian examples include historical bank or airline nationalisation and later Air India privatisation.
- **Analytical inference:** Ownership change can pursue stability, access, strategic control or efficiency.
- **Qualification:** Regulation and competition still determine outcomes after either direction.

PRELIMS TRAP

Do not use deregulation as a synonym for denationalisation.

MAINS USE

State objective, method, compensation and market structure.

MINI RECAP

- Definition: Nationalisation transfers private assets or enterprises into State ownership; denationalisation reverses ownership or control toward private hands.
- Evidence anchor: Indian examples include historical bank or airline nationalisation and later Air India privatisation.
- Verdict: The terms describe direction of ownership change, not automatic performance effects.

CORE SESSION 49 - Competition policy after delicensing

VISUAL FIRST

ENTRY FREEDOM + CCI CONTROL OF AGREEMENTS/ABUSE/COMBINATIONS

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

Competition policy protects contestability after administrative entry controls are removed.

ANSWER-GRABBING LINE: Privatisation without competition can replace public monopoly with private monopoly.

MUST-WRITE KEYWORDS: privatisation, without, competition, can, replace, public, monopoly, with, private, under, the, act

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Privatisation without competition can replace public monopoly with private monopoly.
- **Named evidence:** Under the Competition Act, 2002, CCI addresses anti-competitive agreements, abuse of dominant position and qualifying combinations.
- **Analysis:** Effects-based oversight allows scale while targeting harmful conduct or merger effects.
- **Qualification / demand link:** Sector regulators and CCI have distinct but sometimes intersecting mandates.

EVIDENCE AND INFERENCE

- **Fact/evidence:** Under the Competition Act, 2002, CCI addresses anti-competitive agreements, abuse of dominant position and qualifying combinations.
- **Analytical inference:** Effects-based oversight allows scale while targeting harmful conduct or merger effects.
- **Qualification:** Sector regulators and CCI have distinct but sometimes intersecting mandates.

PRELIMS TRAP

Do not say dominance itself is prohibited.

MAINS USE

Use agreement, abuse and combination as the three-part map.

MINI RECAP

- Definition: Competition policy protects contestability after administrative entry controls are removed.
- Evidence anchor: Under the Competition Act, 2002, CCI addresses anti-competitive agreements, abuse of dominant position and qualifying combinations.
- Verdict: Privatisation without competition can replace public monopoly with private monopoly.

CORE SESSION 50 - IBC and enterprise exit

VISUAL FIRST

DEFAULT -> RESOLUTION PROCESS -> RESTRUCTURE/SALE/LIQUIDATE

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

The Insolvency and Bankruptcy Code provides a creditor-driven framework for time-bound corporate insolvency resolution and liquidation.

ANSWER-GRABBING LINE: Entry reform requires credible exit, but IBC is not a disinvestment policy.

MUST-WRITE KEYWORDS: entry, reform, requires, credible, exit, but, ibc, is, not, a, disinvestment, policy

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Entry reform requires credible exit, but IBC is not a disinvestment policy.
- **Named evidence:** An insolvent company may be resolved through a plan, sold as a going concern under applicable process or liquidated.
- **Analysis:** Credible resolution reallocates assets and disciplines lending or management.
- **Qualification / demand link:** Government ownership, public purpose and specific statutory issues can complicate CPSE application; detailed IBC belongs to Topic 6.

EVIDENCE AND INFERENCE

- **Fact/evidence:** An insolvent company may be resolved through a plan, sold as a going concern under applicable process or liquidated.
- **Analytical inference:** Credible resolution reallocates assets and disciplines lending or management.
- **Qualification:** Government ownership, public purpose and specific statutory issues can complicate CPSE application; detailed IBC belongs to Topic 6.

PRELIMS TRAP

Do not call every CPSE closure an IBC liquidation.

MAINS USE

Bound the exit framework and cross-link.

MINI RECAP

- Definition: The Insolvency and Bankruptcy Code provides a creditor-driven framework for time-bound corporate insolvency resolution and liquidation.
- Evidence anchor: An insolvent company may be resolved through a plan, sold as a going concern under applicable process or liquidated.
- Verdict: Entry reform requires credible exit, but IBC is not a disinvestment policy.

CORE SESSION 51 - Growth and productivity outcomes

VISUAL FIRST

ENTRY/IMPORT/TECH COMPETITION -> REALLOCATION + SCALE + PRODUCTIVITY

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

Reform can raise productivity through entry, competition, technology access and movement of resources toward more efficient firms.

ANSWER-GRABBING LINE: Aggregate growth does not identify which reform caused it.

MUST-WRITE KEYWORDS: aggregate, growth, does, not, identify, which, reform, caused, it, post-1991, industrial, and

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Aggregate growth does not identify which reform caused it.
- **Named evidence:** Post-1991 industrial and trade opening increased competitive pressure and investment choice.
- **Analysis:** Efficient firms can expand while weak firms restructure or exit, improving average productivity.
- **Qualification / demand link:** Infrastructure, finance, skills and global cycles condition outcomes.

EVIDENCE AND INFERENCE

- **Fact/evidence:** Post-1991 industrial and trade opening increased competitive pressure and investment choice.
- **Analytical inference:** Efficient firms can expand while weak firms restructure or exit, improving average productivity.
- **Qualification:** Infrastructure, finance, skills and global cycles condition outcomes.

PRELIMS TRAP

Do not attribute all post-1991 GDP growth to delicensing.

MAINS USE

Use mechanism plus counterfactual caution.

MINI RECAP

- Definition: Reform can raise productivity through entry, competition, technology access and movement of resources toward more efficient firms.
- Evidence anchor: Post-1991 industrial and trade opening increased competitive pressure and investment choice.
- Verdict: Aggregate growth does not identify which reform caused it.

CORE SESSION 52 - FDI and domestic capability outcomes

VISUAL FIRST

FDI -> CAPITAL/TECH/MARKET | DOMESTIC ABSORPTION -> SPILLOVER

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

FDI can support industrial capability when domestic firms, workers and institutions absorb technology and connect to value chains.

ANSWER-GRABBING LINE: Foreign investment volume is not the same as domestic value addition.

MUST-WRITE KEYWORDS: foreign, investment, volume, is, not, the, same, as, domestic, value, addition, 1991

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Foreign investment volume is not the same as domestic value addition.
- **Named evidence:** 1991 liberalisation and subsequent policy opened more sectors and routes.
- **Analysis:** Supplier learning, managerial practices and export links can raise capability.
- **Qualification / demand link:** Import intensity, profit repatriation, market power and weak R&D can limit local gains.

EVIDENCE AND INFERENCE

- **Fact/evidence:** 1991 liberalisation and subsequent policy opened more sectors and routes.
- **Analytical inference:** Supplier learning, managerial practices and export links can raise capability.
- **Qualification:** Import intensity, profit repatriation, market power and weak R&D can limit local gains.

PRELIMS TRAP

Do not treat FDI approval as realised investment.

MAINS USE

Separate approval, inflow, production, value addition and spillover.

MINI RECAP

- Definition: FDI can support industrial capability when domestic firms, workers and institutions absorb technology and connect to value chains.
- Evidence anchor: 1991 liberalisation and subsequent policy opened more sectors and routes.
- Verdict: Foreign investment volume is not the same as domestic value addition.

CORE SESSION 53 - Employment and inequality

VISUAL FIRST

PRODUCTIVITY/COMPETITION -> NEW JOBS + DISPLACEMENT + SKILL PREMIUM

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

Industrial reform changes employment through expansion, firm exit, technology, formality and sector composition.

ANSWER-GRABBING LINE: Growth can coexist with adjustment costs and unequal gains.

MUST-WRITE KEYWORDS: growth, can, coexist, with, adjustment, costs, and, unequal, gains, competitive, sectors, may

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Growth can coexist with adjustment costs and unequal gains.
- **Named evidence:** Competitive sectors may create jobs and lower prices, while restructuring displaces protected workers or raises demand for skills.
- **Analysis:** Labour mobility, social protection, reskilling and labour-intensive sectors shape distribution.
- **Qualification / demand link:** Employment effects need sector, gender, region and job-quality evidence.

EVIDENCE AND INFERENCE

- **Fact/evidence:** Competitive sectors may create jobs and lower prices, while restructuring displaces protected workers or raises demand for skills.
- **Analytical inference:** Labour mobility, social protection, reskilling and labour-intensive sectors shape distribution.
- **Qualification:** Employment effects need sector, gender, region and job-quality evidence.

PRELIMS TRAP

Do not infer jobless growth from one manufacturing share.

MAINS USE

Balance efficiency with transition policy.

MINI RECAP

- Definition: Industrial reform changes employment through expansion, firm exit, technology, formality and sector composition.
- Evidence anchor: Competitive sectors may create jobs and lower prices, while restructuring displaces protected workers or raises demand for skills.
- Verdict: Growth can coexist with adjustment costs and unequal gains.

CORE SESSION 54 - Regional concentration

VISUAL FIRST

AGGLOMERATION ECONOMIES -> CLUSTERS | LAGGING INFRASTRUCTURE -> DIVERGENCE

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

Industrial location reflects market access, infrastructure, skills, suppliers, institutions and agglomeration economies.

ANSWER-GRABBING LINE: Liberal entry does not automatically create geographically balanced investment.

MUST-WRITE KEYWORDS: liberal, entry, does, not, automatically, create, geographically, balanced, investment, existing, industrial, corridors

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Liberal entry does not automatically create geographically balanced investment.
- **Named evidence:** Existing industrial corridors and urban clusters can attract cumulative investment.
- **Analysis:** Agglomeration raises productivity but can widen regional divergence and congestion.
- **Qualification / demand link:** Forced dispersion without connectivity or suppliers may create unviable capacity.

EVIDENCE AND INFERENCE

- **Fact/evidence:** Existing industrial corridors and urban clusters can attract cumulative investment.
- **Analytical inference:** Agglomeration raises productivity but can widen regional divergence and congestion.
- **Qualification:** Forced dispersion without connectivity or suppliers may create unviable capacity.

PRELIMS TRAP

Do not equate a project announcement with regional transformation.

MAINS USE

Recommend connectivity, cities, skills and cluster governance.

MINI RECAP

- Definition: Industrial location reflects market access, infrastructure, skills, suppliers, institutions and agglomeration economies.
- Evidence anchor: Existing industrial corridors and urban clusters can attract cumulative investment.
- Verdict: Liberal entry does not automatically create geographically balanced investment.

CORE SESSION 55 - Second-generation reforms

VISUAL FIRST

PRODUCT-MARKET REFORM -> LAND/LABOUR/LOGISTICS/FINANCE/JUSTICE/STATE CAPACITY

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

Second-generation reforms address factor markets, institutions, public services and implementation after initial delicensing.

ANSWER-GRABBING LINE: Removing licences is insufficient when firms face logistics, power, contract or skill constraints.

MUST-WRITE KEYWORDS: removing, licences, is, insufficient, when, firms, face, logistics, power, contract, or, skill

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Removing licences is insufficient when firms face logistics, power, contract or skill constraints.
- **Named evidence:** The canonical owner links later reform to infrastructure, finance, standards, judicial capacity and regulatory quality.
- **Analysis:** Institutional reform can convert formal openness into investment and productivity.
- **Qualification / demand link:** Sequencing, federal variation and distributional safeguards matter.

EVIDENCE AND INFERENCE

- **Fact/evidence:** The canonical owner links later reform to infrastructure, finance, standards, judicial capacity and regulatory quality.
- **Analytical inference:** Institutional reform can convert formal openness into investment and productivity.
- **Qualification:** Sequencing, federal variation and distributional safeguards matter.

PRELIMS TRAP

Do not call every later scheme a second-generation reform.

MAINS USE

Identify the post-entry bottleneck.

MINI RECAP

- Definition: Second-generation reforms address factor markets, institutions, public services and implementation after initial delicensing.
- Evidence anchor: The canonical owner links later reform to infrastructure, finance, standards, judicial capacity and regulatory quality.
- Verdict: Removing licences is insufficient when firms face logistics, power, contract or skill constraints.

CORE SESSION 56 - Industrial-policy resurgence

VISUAL FIRST

GLOBAL SHOCK/TECH/CLIMATE/SECURITY -> TARGETED CAPABILITY POLICY

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

Modern industrial policy targets capabilities, resilience, technology, decarbonisation and supply chains within a more open economy.

ANSWER-GRABBING LINE: Resurgence does not mean restoration of licence-permit allocation.

MUST-WRITE KEYWORDS: resurgence, does, not, mean, restoration, of, licence-permit, allocation, economic, survey, 2025-26, emphasises

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Resurgence does not mean restoration of licence-permit allocation.
- **Named evidence:** Economic Survey 2025-26 emphasises strategic resilience and indispensability rather than insulation.
- **Analysis:** Public support can coordinate scale, R&D and supplier ecosystems.
- **Qualification / demand link:** Targets risk capture, concentration and permanent subsidy without additionality tests.

EVIDENCE AND INFERENCE

- **Fact/evidence:** Economic Survey 2025-26 emphasises strategic resilience and indispensability rather than insulation.
- **Analytical inference:** Public support can coordinate scale, R&D and supplier ecosystems.
- **Qualification:** Targets risk capture, concentration and permanent subsidy without additionality tests.

PRELIMS TRAP

Do not equate Atmanirbhar Bharat with autarky.

MAINS USE

Compare old entry control with new outcome-linked capability support.

MINI RECAP

- Definition: Modern industrial policy targets capabilities, resilience, technology, decarbonisation and supply chains within a more open economy.
- Evidence anchor: Economic Survey 2025-26 emphasises strategic resilience and indispensability rather than insulation.
- Verdict: Resurgence does not mean restoration of licence-permit allocation.

CORE SESSION 57 - Make in India and Atmanirbhar boundary

VISUAL FIRST

INVESTMENT FACILITATION/DOMESTIC CAPABILITY -> COMPETE IN INDIA AND GLOBAL MARKETS

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

Make in India and Atmanirbhar Bharat are broad policy frames for manufacturing capability, investment and resilience.

ANSWER-GRABBING LINE: Their analytical content lies in instruments and outcomes, not slogans.

MUST-WRITE KEYWORDS: their, analytical, content, lies, in, instruments, and, outcomes, not, slogans, dpiit, investment

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Their analytical content lies in instruments and outcomes, not slogans.
- **Named evidence:** DPIIT investment facilitation, procurement, infrastructure, standards and sector programmes operate within these frames.
- **Analysis:** Domestic capability can support exports and strategic reliability.
- **Qualification / demand link:** Protection without competition or export discipline can reduce efficiency.

EVIDENCE AND INFERENCE

- **Fact/evidence:** DPIIT investment facilitation, procurement, infrastructure, standards and sector programmes operate within these frames.
- **Analytical inference:** Domestic capability can support exports and strategic reliability.
- **Qualification:** Protection without competition or export discipline can reduce efficiency.

PRELIMS TRAP

Do not duplicate Topic 17's PLI, semiconductor and MSME architecture.

MAINS USE

Use the frames briefly, then cross-link Topic 17.

MINI RECAP

- Definition: Make in India and Atmanirbhar Bharat are broad policy frames for manufacturing capability, investment and resilience.
- Evidence anchor: DPIIT investment facilitation, procurement, infrastructure, standards and sector programmes operate within these frames.
- Verdict: Their analytical content lies in instruments and outcomes, not slogans.

CORE SESSION 58 - Balanced reform framework

VISUAL FIRST

CLEAR OBJECTIVE -> COMPETITIVE NEUTRALITY -> CAPABILITY -> ACCOUNTABILITY -> EXIT/REVIEW

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

A balanced industrial strategy combines market competition, public goods, strategic capability and transparent ownership policy.

ANSWER-GRABBING LINE: The relevant choice is which institution solves a named problem, not State versus market in the abstract.

MUST-WRITE KEYWORDS: the, relevant, choice, is, which, institution, solves, a, named, problem, not, state

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** The relevant choice is which institution solves a named problem, not State versus market in the abstract.
- **Named evidence:** NIP 1991, Competition Act, DPE/DIPAM policy and the 2021 PSE framework represent different layers.
- **Analysis:** Independent regulation, explicit public obligations and measurable support reduce hidden rents.
- **Qualification / demand link:** Worker, regional and environmental transitions need policy alongside efficiency reform.

EVIDENCE AND INFERENCE

- **Fact/evidence:** NIP 1991, Competition Act, DPE/DIPAM policy and the 2021 PSE framework represent different layers.
- **Analytical inference:** Independent regulation, explicit public obligations and measurable support reduce hidden rents.
- **Qualification:** Worker, regional and environmental transitions need policy alongside efficiency reform.

PRELIMS TRAP

Do not end with blanket privatisation or blanket retention.

MAINS USE

Close with enterprise-specific and instrument-specific tests.

MINI RECAP

- Definition: A balanced industrial strategy combines market competition, public goods, strategic capability and transparent ownership policy.
- Evidence anchor: NIP 1991, Competition Act, DPE/DIPAM policy and the 2021 PSE framework represent different layers.
- Verdict: The relevant choice is which institution solves a named problem, not State versus market in the abstract.

CORE SESSION 59 - Mains answer architecture

VISUAL FIRST

CHRONOLOGY -> 1991 PILLARS -> OUTCOME -> PSU/DISINVESTMENT DISTINCTION -> QUALIFIED REFORM

Visual reading: Identify the policy instrument, the firm response and the public-risk qualification.

DEFINITION

A strong Mains answer links historical constraints, precise instruments, evidence, distribution and current policy.

ANSWER-GRABBING LINE: Chronology should support causation rather than consume the answer.

MUST-WRITE KEYWORDS: chronology, should, support, causation, rather, than, consume, the, answer, official, policy, dates

HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Chronology should support causation rather than consume the answer.
- **Named evidence:** Official policy dates, current licensing, Ratna criteria, 2021 PSE sectors and 2026-27 receipt figures provide named anchors.
- **Analysis:** Clear distinctions prevent the common errors of LPG, PSU and disinvestment questions.
- **Qualification / demand link:** The directive and word limit determine how much chronology or current status belongs.

EVIDENCE AND INFERENCE

- **Fact/evidence:** Official policy dates, current licensing, Ratna criteria, 2021 PSE sectors and 2026-27 receipt figures provide named anchors.
- **Analytical inference:** Clear distinctions prevent the common errors of LPG, PSU and disinvestment questions.
- **Qualification:** The directive and word limit determine how much chronology or current status belongs.

PRELIMS TRAP

Do not produce a list of acronyms without mechanisms.

MAINS USE

Use a thesis, two causal chains, one counterpoint and a qualified verdict.

MINI RECAP

- Definition: A strong Mains answer links historical constraints, precise instruments, evidence, distribution and current policy.
- Evidence anchor: Official policy dates, current licensing, Ratna criteria, 2021 PSE sectors and 2026-27 receipt figures provide named anchors.
- Verdict: Chronology should support causation rather than consume the answer.

OPTIONAL ADVANCED

ADVANCED 1 - Infant-industry test

TEMPORARY LEARNING SUPPORT -> PRODUCTIVITY/EXPORT MILESTONE -> SUNSET

Protection is defensible only where learning externalities are plausible, performance is observable and support can end. Otherwise the infant never graduates.

Advanced answer line: Infant-industry policy needs export, productivity or capability discipline rather than age alone.

ADVANCED 2 - Contestable-market logic

FEW FIRMS + LOW ENTRY/EXIT BARRIERS MAY DISCIPLINE PRICE; MANY FIRMS MAY STILL COLLUDE

Market structure is not the same as competitive conduct. Entry conditions, network access and switching costs matter.

Advanced answer line: Privatisation must preserve contestability, not merely change the owner's identity.

ADVANCED 3 - Principal-agent chain

CITIZEN -> GOVERNMENT -> ADMIN MINISTRY -> BOARD -> MANAGEMENT

Multiple principals, hidden mandates and political intervention can weaken CPSE accountability. Explicit objectives and board responsibility shorten the chain.

Advanced answer line: Public ownership performs best when ownership, regulation and management roles are institutionally separated.

ADVANCED 4 - Control premium

MINORITY SHARE VALUE + POWER TO APPOINT/MANAGE = CONTROL PREMIUM

A controlling stake may command value beyond a pro-rata market price because it transfers decision rights.

Advanced answer line: Strategic-sale valuation must recognise control, liabilities, restrictions and future cash flow together.

ADVANCED 5 - Productive-development policy

CAPABILITY DIAGNOSIS -> COORDINATION -> EXPERIMENT -> MEASURE -> WITHDRAW/SCALE

Modern industrial policy is a discovery process under uncertainty. Transparent experimentation and termination reduce capture.

Advanced answer line: Policy capacity includes the ability to stop a weak intervention, not only launch it.

ADVANCED 6 - Place-based transition

CPSE/INDUSTRY RESTRUCTURING -> LOCAL JOB/REVENUE SHOCK -> SKILLS + CONNECTIVITY + NEW FIRMS

Industrial exit can create regional scarring where one enterprise anchors suppliers, housing and local demand.

Advanced answer line: Worker compensation alone cannot replace a regional transition strategy.

CONSOLIDATED REGISTER NOTES

1. Historical spine

- 1948: mixed economy and strategic State domain.
- IDR Act 1951: statutory licensing framework.
- 1956: Schedule A State, B progressive State role, C other private activity under controls.
- MRTP 1969: concentration and pre-entry scrutiny; FERA 1973: foreign-exchange conservation.
- 1977: small/tiny/cottage and district focus; 1980s: modernisation and selective flexibility.
- 24 July 1991: systemic delicensing, PSU, MRTP, FDI and technology reform.

2. 1991 distinctions

- Stabilisation restores macro balance; structural reform changes incentives and capacity.
- Liberalisation reduces controls; privatisation transfers private ownership/control.
- Globalisation deepens cross-border integration; deregulation removes or redesigns a rule.
- Delicensing != abolition of environmental, safety, land, competition or sector regulation.
- Historical 51% automatic FDI rule in specified high-priority industries is not today's universal cap.

3. Current licensing

- Four compulsory categories: electronic aerospace/defence; industrial explosives; specified hazardous chemicals; cigars/cigarettes and manufactured tobacco substitutes.
- Atomic Energy and core Railway operations remain reserved subject to notified exceptions for mass rapid transport and specified railway infrastructure activities.
- Current list checked 9 September 2026; item scope follows official notifications.

4. CPSE map

- Departmental undertaking != statutory corporation != government company. Companies Act section 2(45): at least 51% paid-up share capital held by Central/State government(s), singly or jointly; includes its subsidiary.
- DPE: public-enterprise policy; DIPAM: investment/public-asset transactions.
- Board manages; administrative ministry owns/policymakes; CAG/Parliament/SEBI/sector regulator have specified roles.
- Public-service obligation should be explicit and costed.
- Soft budget constraint = expected rescue weakens discipline.
- Public Enterprises Survey 2024-25 is the current official performance compendium.

5. Ratna criteria - current

- Maharatna: Navratna + Indian listing/public shareholding + three-year average turnover >Rs25,000 crore, net worth >Rs15,000 crore, PAT >Rs5,000 crore + significant global presence.
- Navratna: Schedule A + Miniratna-I + Excellent/Very Good MoU ratings in three of the preceding five years + composite score at least 60/100.
- Miniratna-I: profit three consecutive years + positive net worth + PBT at least Rs30 crore in one.
- Miniratna-II: profit three consecutive years + positive net worth.
- DPE monitoring/review instructions checked through 16 June 2026.

6. Disinvestment instruments

- Minority sale/OFS/IPO: equity sold, government control retained.
- ETF: basket of CPSE shares. Buyback: company repurchases shares.
- Strategic disinvestment: substantial/entire stake + management control.
- Privatisation: control transferred to private buyer.
- Asset monetisation: time-bound asset operating/revenue rights may transfer while ownership remains public.
- Closure, merger, subsidiarisation and IBC resolution are distinct.

7. Current PSE policy and receipts

- New PSE Policy notified 4 February 2021.
- Strategic groups: atomic/space/defence; transport/telecom; power/petroleum/coal/minerals; banking/insurance/financial services.
- Strategic: bare minimum public commercial presence; others may privatise/merge/subsidiarise/close.
- Non-strategic: privatisation where feasible, otherwise closure.
- Receipt Budget: Rs80,000 crore BE 2026-27 and Rs33,837 crore RE 2025-26 under combined miscellaneous capital receipts.
- DIPAM FY2025-26 disinvestment portal receipt: Rs16,885.56 crore, checked 9 September 2026.

8. Evaluation and reform

- Gains: entry, scale, competition, technology, consumer choice, FDI and productivity.
- Limits: uneven jobs, inequality, regional concentration, weak domestic R&D and incomplete factor/institution reform.
- CCI: agreements, abuse of dominance and combinations.
- IBC provides corporate resolution/exit; it is not disinvestment policy.
- Modern policy: public goods + measurable capability + competition + review/sunset + transition protection.
- PLI/MSME/semiconductor detail belongs to Topic 17.